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SEC Registration Number

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G	R	O	U	P	,	I	N	C																							

(Company's Full Name)

(Business Address: No. Street City/Town/Province)

O	R	E		C	E	N	T	R	A	L		B	U	I	L	D	I	N	G											
9	T	H		A	V	E	.		C	O	R	.		3	1	S	T		S	T	R	E	E	T						
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T	A	G	U	I	G		C	I	T	Y																				

Connie A. Minoza

(Contact Person)

63 (2)8889-1129

(Company Telephone Number)

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Month Day
(Fiscal Year)

	1	7	-	Q		
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(Form Type)

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Month Day
(Annual Meeting)

Permit to Sell Securities

(Secondary License Type, If Applicable)

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Dept. Requiring this Doc.

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Amended Articles Number/Section

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Total No. of Stockholders

Total Amount of Borrowings	

Domestic Foreign

To be accomplished by SEC Personnel concerned

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File Number

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Cashier

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **September 30, 2025**
2. Commission identification number **CS200705606** 3. BIR Tax Identification No. **006-710-868**
4. Exact name of issuer as specified in its charter **ORIENTAL PENINSULA RESOURCES GROUP, INC.**
5. **Philippines**
Province, country or other jurisdiction of incorporation or organization
6. Industry Classification Code: (SEC Use Only)
7. **ORE Central Building, 9th Avenue corner 31st Street, Bonifacio Global City, Taguig City 1630**
Address of issuer's principal office Postal Code
8. **(632) 8889-1129**
Issuer's telephone number, including area code
9. **N/A**
Former name, former address and former fiscal year, if changed since last report
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding
Common shares	2,878,500,005

11. Are any or all of the securities listed on a Stock Exchange?
Yes ☒ No ☐
If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
Philippine Stock Exchange, Inc. Common Shares

12. Indicate by check mark whether the registrant:
- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and appropriate provisions of the Revised Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)
Yes ☒ No ☐
- (b) has been subject to such filing requirements for the past ninety (90) days.
Yes ☒ No ☐

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
INTERIM AS OF SEPTEMBER 30, 2025

(with comparative figures as of September 30, 2024, September 30, 2023, and as of December 31, 2024 - as audited)

In Philippine Peso

A S S E T S	Note	(Interim) 09.30.25	(Interim) 09.30.24	(Interim) 09.30.23	(Audited) 2024
Current Assets					
Cash	P	101,981,218	P 169,667,773	P 41,187,838	P 103,015,100
Receivables		192,687,651	317,980,399	613,788,526	291,084,482
Inventory		1,218,282,297	1,649,608,638	1,364,256,174	1,712,562,604
Other current assets		-	-	-	-
Total Current Assets		1,512,951,166	2,137,256,809	2,019,232,538	2,106,662,186
Non-current Assets					
Property, plant and equipment		1,660,682,166	1,665,549,614	1,844,757,997	1,692,708,946
Explored mineral resources		479,810,617	477,258,533	492,134,339	480,761,732
Investment in an associate		369,184,183	273,580,223	252,254,939	369,184,183
Advances to related party		4,940,034,589	5,322,769,105	4,399,439,562	5,075,106,906
Deferred tax asset		124,219,708	80,885,131	63,349,009	124,219,708
Other non-current assets (net)		480,792,691	437,254,203	409,643,591	460,846,595
Total Non-current Assets		8,054,723,954	8,257,296,809	7,461,579,437	8,202,828,070
TOTAL ASSETS		9,567,675,120	10,394,553,619	9,480,811,975	P 10,309,490,257

LIABILITIES AND EQUITY

Current Liabilities					
Accounts payable and other liabilities	2,009,210,861	2,908,232,185	1,888,589,439	P	2,596,623,115
Dividends payable	4,764,540	4,764,540	12,960,000		4,764,540
Income tax payable	318,817	137,107	-		1,627,283
Total Current Liabilities	2,014,294,218	2,913,133,833	1,901,549,439		2,603,014,938
Non-current Liabilities					
Advances from related party	133,602,287	-	-		133,602,287
Deferred tax liability	-	-	62,831,565		-
Provisions	276,120,484	280,241,888	244,729,999		280,480,878
Retirement benefit obligation	15,591,962	16,123,101	12,684,796		15,591,962
Total Non- Current Liabilities	425,314,733	296,364,989	320,246,360		429,675,127
	2,439,608,951	3,209,498,822	2,221,795,799		3,032,690,066
Equity Holders of the Parent Company					
Attributable to Equity Holders of the Parent					
Share Capital	2,878,500,005	2,878,500,005	2,878,500,005		2,878,500,005
Share Premium	445,025,896	445,025,896	445,025,896		445,025,896
Remeasurement loss on retirement benefit obligation - net of deferred tax	5,186,841	1,822,957	1,976,155		5,186,841
Retained earnings					
Unappropriated	1,942,776,352	2,000,912,370	2,073,619,793		2,089,432,570
Appropriated	1,700,000,000	1,700,000,000	1,700,000,000		1,700,000,000
	6,971,489,094	7,026,261,228	7,099,121,849		7,118,145,312
Non-controlling Interest	156,577,076	158,793,569	159,894,327		158,654,879
Total Equity	7,128,066,169	7,185,054,796	7,259,016,176		7,276,800,191
TOTAL LIABILITIES AND EQUITY	P 9,567,675,120	P 10,394,553,619	P 9,480,811,975		10,309,490,257

See accompanying Notes to Financial Statements

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
INTERIM FOR THE THREE AND NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2025
(with comparative figures for the three and nine months period ending September 30 2024, 2023 and 2022)
In Philippine Peso

	Note	(Interim) JUL-SEP '25	(Interim) JAN-SEP '25	(Interim) JUL-SEP '24	(Interim) JAN-SEP '24	(Interim) JUL-SEP '23	(Interim) JAN-SEP '23
REVENUES							
Sale of ore		180,628,970	841,594,681	93,065,476	172,003,935	-	366,798,291
Others		15,399,248	6,702,852	7,236,834	5,164,410	291,894	34,235,230
		196,028,218	848,297,533	85,828,641	177,168,345	291,894	332,563,061
COSTS AND EXPENSES							
Cost of Sales		148,668,317	655,838,369	63,818,845	192,271,957	65,546,763	315,979,218
Shipping and loading costs		6,385,449	67,126,743	15,394,391	23,109,602	41,451,443	144,432,550
Excise and other taxes		9,031,448	42,079,734	4,703,274	8,650,197	-	18,339,915
Finance cost		369,533	1,091,645	387,132	1,112,719	364,527	1,100,119
Administrative expenses		23,213,766	230,895,062	41,377,597	119,852,942	44,103,960	220,217,620
Foreign exchange loss		-	-	-	-	-	-
		187,668,514	997,031,553	125,681,239	344,997,417	151,466,694	700,069,421
INCOME (LOSS) BEFORE INCOME TAX		8,359,704	148,734,020	39,852,598	167,829,072	151,758,588	367,506,361
INCOME TAX EXPENSE (BENEFIT)							
Current		-	-	-	-	-	-
Deferred		-	-	-	-	-	-
INCOME (LOSS) FOR THE PERIOD		8,359,704	148,734,020	39,852,598	167,829,072	151,758,588	367,506,361
OTHER COMPREHENSIVE INCOME							
<i>Items not to be reclassified to profit or loss in subsequent periods:</i>							
Remeasurement gain (loss) on retirement benefit obligation		-	-	-	-	-	-
Deferred tax effect		-	-	-	-	-	-
		-	-	-	-	-	-
TOTAL COMPREHENSIVE INCOME (LOSS)		8,359,704	148,734,020	39,852,598	167,829,072	151,758,588	367,506,361
INCOME (LOSS) ATTRIBUTABLE TO:							
Equity holders of the Parent Company	22	8,254,084	146,656,217	39,346,546	165,606,156	149,663,476	362,858,583
Non-controlling interest		105,621	2,077,803	506,052	2,222,916	2,095,112	4,647,778
		8,359,704	148,734,020	39,852,598	167,829,072	151,758,588	367,506,361
EARNINGS (LOSS) PER SHARE ATTRIBUTABLE TO EQUITY							
HOLDERS OF THE PARENT COMPANY	22	0.003	0.051	0.014	0.058	0.052	0.126

See accompanying Notes to Financial Statements

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
INTERIM FOR THE NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2025
(with comparative figures for the nine months period ending September 30 2024, 2023 and 2022)

JAN-SEP 2025

<u>JAN-SEP 2025</u>	Attributable to Equity Holders of the Parent Company												

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
INTERIM FOR THE NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2024
(with comparative figures for the nine months period ending September 30 2023, 2022 and 2021)

JAN-SEP 2024

<u>JAN-SEP 2024</u>	Attributable to Equity Holders of the Parent Company													
						Remeasurement loss on retirement benefit obligation - net of deferred tax		Retained Earnings					Non- Controlling Interest	Total Equity
	Note	Share Capital		Share Premium				Unappropriated	Appropriated		Total			
As of January 1, 2024	P	2,878,500,005	P	445,025,896	P	1,822,957	P	2,166,518,526	P	1,700,000,000	P	7,191,867,384	P	7,352,883,869
Net Comprehensive Income Jan-Mar 2024		-		-		-		(79,490,584)				(79,490,584.45)		(80,566,375)
Net Comprehensive Income Apr-Jun 2024		-		-		-		(46,769,025)				(46,769,025.13)		(47,410,100)
Net Comprehensive Income Jul-Sep 2024								(39,346,546)				(39,346,546.18)		(39,852,598)
Prior Period Adjustments								-				-		-
Balances as at September 30, 2024	P	2,878,500,005	P	445,025,896	P	1,822,957	P	2,000,912,370	P	1,700,000,000	P	7,026,261,228	P	7,185,054,797

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
INTERIM FOR THE NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2023
(with comparative figures for the nine months period ending September 30 2022, 2021 and 2020)

JAN-SEP 2023

<u>JAN-SEP 2023</u>	Attributable to Equity Holders of the Parent Company												Non-Controlling Interest	Total Equity		
Note	Share Capital	Share Premium	Remeasurement loss on retirement benefit obligation - net of deferred tax	Retained Earnings		Total										
				Unappropriated	Appropriated											
As of January 1, 2023	P	2,878,500,005	P	445,025,896	P	1,976,155	P	2,436,478,376	P	1,700,000,000	P	7,461,980,432	P	164,542,106	P	7,626,522,538
Net Comprehensive Income Jan-Mar 2023		-		-		-		(80,525,213)		(80,525,212.80)		(786,095)		(81,311,308)		(81,311,308)
Net Comprehensive Income Apr-Jun 2023		-		-		-		(132,669,894)		(132,669,894.00)		(1,766,572)		(134,436,466)		(134,436,466)
Net Comprehensive Income Jul-Sep 2023								(149,663,476)		(149,663,476.09)		(2,095,112)		(151,758,588)		(151,758,588)
Prior Period Adjustments								-		-		-		-		-
Balances as at September 30, 2023	P	2,878,500,005	P	445,025,896	P	1,976,155	P	2,073,619,793	P	1,700,000,000	P	7,099,121,849	P	159,894,327	P	7,259,016,177

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF CASH FLOWS
INTERIM FOR THE NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2025
(with comparative figures for the nine months period ending September 30 2024, 2023 and 2022)
In Philippine Peso

	(Interim) JAN-SEP '25	(Interim) JAN-SEP '24	(Interim) JAN-SEP '23	(Interim) JAN-SEP '22
CASH FLOWS FROM OPERATING ACTIVITIES				
Income (Loss) for the period	P (148,734,020) P	(167,829,072) P	(367,506,361) P	272,400,707
Adjustments to reconcile income (loss) to net cash provided by operating activities:				
Depreciation, depletion and amortization	37,962,667	99,662,642	103,421,198	69,547,201
Provisions	4,360,394	4,441,692	(30,161,269)	14,472,047
Interest expense	1,052,329	1,052,329	1,052,329	880,314
Interest income	(2,990,028)	(2,705,618)	(1,107,444)	(420,748)
Operating income (loss) before working capital changes	(108,348,659)	(65,378,027)	(294,301,546)	356,879,522
(Increase)/Decrease in operating assets				
Receivables	98,396,831	212,887,663	28,251,171	(936,408,929)
Inventories	494,280,307	(215,166,344)	(255,555,504)	90,112,985
Short-term investments	-	-	329,539,577	-
Financial assets at FVPL	-	-	329,539,222	-
Other current assets	-	-	-	-
Other non-current assets	(19,946,096)	(12,607,880)	(41,598,919)	(1,247,397,281)
Increase/(Decrease) in operating liabilities				
Increase/(decrease) in payables and others	(590,665,858)	1,154,029,894	462,422,359	475,395,205
Income tax	(1,308,466)	(5,460,359)	(49,686,532)	(50,488,469)
Net cash from (used in) operating activities	(127,591,939)	1,068,304,948	508,609,827	(1,311,906,968)
CASH FLOWS FROM INVESTING ACTIVITIES				
Additions to property, plant and equipment	(8,514,259)	(1,082,736)	(150,371,130)	(87,838,066)
Advances to related party	135,072,317	(1,140,810,767)	(958,090,032)	(86,289,460)
Interest income	-	-	-	-
Net Cash Used in Investing Activities	126,558,058	(1,141,893,504)	(1,108,461,161)	(174,127,526)
CASH FLOWS FROM FINANCING ACTIVITIES				
Net Cash Provided by (Used in) Financing Activities	-	-	-	-

INCREASE/(DECREASE) IN CASH	(1,033,881)	(73,588,556)	(599,851,334)	(1,486,034,494)
CASH AT BEGINNING OF PERIOD	103,015,100	243,256,329	641,039,173	1,537,503,426
CASH AT END OF PERIOD	P 101,981,218	P 169,667,773	P 41,187,838	P 51,468,932

FINANCIAL INFORMATION

Third Quarter 2025

Item 1. Financial Statements

The Interim Consolidated Financial Statements of Oriental Peninsula Resources Group Inc. are filed as part of this Form 17-Q. The issuer's interim consolidated financial reports for the quarter ending September 30, 2025, with comparative figures for the quarter ending September 30, 2024, September 30, 2023 and December 31, 2024 (audited) are in compliance with generally accepted accounting principles. There were no changes in accounting policies and methods of computation in the preparation of interim financial statements as prepared with the most recent annual financial statements.

No disclosures or discussions were made in the interim report on the seasonality or cyclicity of interim operations as there were no identified seasonal aspects that have material effect on the financial condition or results of operation of the company.

No disclosures or discussions were made in the nature and amounts of items affecting assets, liabilities, equity, net income, or cash flows that are unusual of their nature, size, or incidents as there are no unusual occurrences that are expected to happen.

The nature and amount of changes in estimates of amounts reported in prior interim periods or changes in estimates of amounts reported in prior financial years, if these changes have a material effect in the current interim period as the company has not changed its accounting policies and methods of computation in the preparation of interim financial statements as prepared with the most recent annual financial statements as there were no events or uncertainties that have not been reflected in the interim financial statements.

No issuances, repurchases and repayments of debt and equity securities were not disclosed as the same is not applicable.

Material events subsequent to the end of the interim period that have not been reflected in the financial statements for the interim period were not disclosed as there were no events or uncertainties that have not been reflected in the interim financial statements.

The following tables set forth the summary of financial information for the second quarter of 2025, 2024, and 2023:

Summary of Consolidated Balance Sheet for the Third Quarter of 2025, 2024, 2023 and December 31, 2024 (audited):

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec 31, 2024 (audited)
Current Assets	1,512,951,166	2,137,256,809	2,019,232,538	2,106,662,186
Non-Current Assets	8,054,723,954	8,257,296,809	7,461,579,437	8,202,828,070
Total Assets	9,567,675,120	10,394,553,619	9,480,811,975	10,309,490,257
Current Liabilities	2,014,294,218	2,913,133,833	1,901,549,439	2,603,014,938
Non-Current Liabilities	425,314,733	296,364,989	320,246,360	429,675,127
Equity attributable to parent company	6,971,489,094	7,026,261,228	7,099,121,849	7,118,145,312
Minority interest	156,577,076	158,793,569	159,894,327	158,654,879
Total Liabilities & Equity	9,567,675,120	10,394,553,619	9,480,811,975	10,309,490,257

FINANCIAL INFORMATION

Third Quarter 2025

Summary of Consolidated Income Statement for the Third Quarter of 2025, 2024, 2023 and for December 31, 2024 (audited):

	Jan. 1 to Sept. 30, 2025	Jan. 1 to Sept. 30, 2024	Jan. 1 to Sept. 30, 2023	December 31, 2024 (audited)
Sales - Nickel laterite ore	841,594,681	172,003,935	366,798,291	357,542,856
Less: Production cost	655,838,369	192,271,957	315,979,218	276,707,005
Gross revenue from mining	185,756,312	-20,268,022	50,819,073	80,835,851
Less: Other cost and expenses:				
Shipping and loading costs	67,126,743	23,109,602	144,432,550	62,339,735
Excise & other taxes	42,079,734	8,650,197	18,339,915	17,877,143
Foreign exchange loss	-	-	-	17,982,614
Finance cost	1,091,645	1,112,719	1,100,119	1,476,385
Administrative expenses	230,895,062	119,852,942	220,217,620	203,693,255
Sub-total	341,193,184	152,725,460	384,090,204	303,369,132
Operating Profit / (Loss)	-155,436,872	-172,993,482	-333,271,130	-222,533,281
Add - other revenue / (loss)	6,702,852	5,164,410	-34,235,230	4,811,527
Equity in Net Income (Loss) of Associate	-	-	-	95,603,960
Net Profit / (Loss) before income tax	-148,734,020	-167,829,072	-367,506,361	-122,117,794
Income Tax				
Current	-	-	-	1,785,642
Deferred	-	-	-	-44,455,872
	-	-	-	-42,670,230
Income After Tax	-148,734,020	-167,829,072	-367,506,361	-79,447,564
Net Profit / (Loss) attributable to:				
Equity holders of the company	-146,656,217	-165,606,156	-362,858,583	-77,085,956
Minority interests	-2,077,803	-2,222,916	-4,647,778	-2,361,608
	-148,734,020	-167,829,072	-367,506,361	-79,447,564

Summary of Consolidated Cash Flow Statement for the Third Quarter of 2025, 2024, 2023:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023
Cash used from operating activities	-127,591,939	1,068,304,948	508,609,827
Cash used from investing activities	126,558,058	-1,141,893,504	-1,108,461,161
Cash provided from financing activities	-	-	-
Net Increase/(Decrease) in Cash & Equivalents	-1,033,881	-73,588,556	-599,851,334
Cash & Cash Equivalents at beginning of the year	103,015,100	243,256,329	641,039,173
Cash & Cash Equivalents, end	101,981,218	169,667,773	41,187,838

The table below shows the percentage of sales or revenues contributed by foreign sales:

Market	Sales Revenue and Net Income Contribution					
	Jan-Sep 2025		Jan-Sep 2024		Jan-Sep 2023	
	Amount	in %	Amount	in %	Amount	in %
China	841,594,681	100%	92,053,749	54%	305,914,155	83%
Japan	0	0%	79,950,186	46%	60,884,137	17%
	841,594,681	100%	172,003,935	100%	366,798,291	100%

FINANCIAL INFORMATION

Third Quarter 2025

Market	Sales Revenue and Net Income Contribution					
	Jul-Sep 2025		Jul-Sep 2024		Jul-Sep 2023	
	Amount	in %	Amount	in %	Amount	in %
China	180,628,970	100%	49,804,715	54%	No Shipment	
Japan	0	0%	43,260,761	46%	No Shipment	
	180,628,970	100%	93,065,476	100%		

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Plan of Operations

The group's nickel mining project situated in the Municipality of Sofronio Española (the Pulot Site), Palawan and Narra (the Toronto Site), Palawan, started its commercial operation in 2011, four years after the issuance of MPSA to Citinickel in January 2007. The nickel ore export destinations are China, Japan and Australia, where delivery to them is measured and/or computed in wet metric tons (wmt). Based on Citinickel's Three-Year Development Utilization Work Program 2023-2025, the remaining reserve from the previous inventory and allowable mining areas, in particular, the group estimated total production volume in Wet Metric Tons (WMT) is 1,700,000, 1,200,000 and 1,200,000 for 2023, 2024 and 2025, respectively. Operations will be limited to approximately 180 days per year which corresponds to the projected dry season in Palawan.

The group's target for at least total of Fifteen (15) vessels for export sales for calendar year 2025. It will continue to improve the necessary equipment and facilities in the mine sites in Palawan. The Company is also looking into establishing a ferro-nickel plant taking into consideration the supply of power energy. On the corporate side, the Company will continue in promoting good corporate governance and in pursuing its objective to be a Company with definite, concrete, and effective corporate social responsibility with especial advocacy for health, education, and environment.

Status of Operations

As of September 30, 2025, the group was able to export Fourteen (14) vessels of nickel ore to China. The group continued doing mining and production operations, environmental rehabilitation activities and community services.

Financial Condition

Balance Sheet:

The succeeding table shows the Horizontal and Vertical Analysis of material changes as of September 30, 2025, September 30, 2024, September 30, 2023 and December 31, 2024 (audited) Consolidated Balance Sheet (figures rounded into nearest Peso).

September 30, 2025 vs. December 31, 2024 (audited):

Current assets as of the third quarter of 2025 is 28.18% lower compared to the year-end balance of 2024. Cash decreased by P1.034million, Receivables decreased by 33.80% and Inventory also by 28.86%.

Non-current assets is 1.81% lower. Property, plant and equipment decreased by 1.89% and Explored mineral resources by 0.20%, these are due to amortization and depreciation. There is no movement in the Investment in an associate and also the Deferred tax asset. Advances to related party decreased by 2.66%. Other non-current asset increased by 4.33%.

FINANCIAL INFORMATION

Third Quarter 2025

Total assets for the third quarter of 2025 is 7.20% lower compared to December 31, 2024.

Total liabilities is 19.56% lower versus the December 31, 2024. Current liabilities decreased by 22.62%. Accounts payable and other liabilities decreased by 22.62% and Income Tax payable by 80.41% due to settlements. No movement with the Dividends payable. Non-current liabilities decreased by 1.01%. No movement with the Advances to related party and Retirement benefit obligation, but provisions decreased by 1.55%.

Total equity decreased by 2.04%. No movements with the Share capital, Share premium and Remeasurement loss on retirement benefit obligation – net of deferred tax. Retained earnings decreased by 3.87% due to net loss during the period. No changes in the appropriated retained earnings, but unappropriated decreased by 7.02%.

Total liabilities and equity is 7.20% lower compared to year-end balance of 2024.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
INTERIM AS OF SEPTEMBER 30, 2025
In Philippine Peso

ASSETS	Note	(Interim) 09.30.25	(Audited) 2024	09.30.2025 vs 12.31.2024			
				Horizontal Analysis		Vertical Analysis	
				in amount	in %	09.30.25	12.31.24
Current Assets							
Cash	P	101,981,218	P 103,015,100	-1,033,881	-1.00%	1.07%	1.00%
Receivables		192,687,651	231,064,482	-38,396,831	-33.80%	2.01%	2.62%
Inventory		1,218,282,297	1,712,562,604	-494,280,307	-28.86%	12.73%	16.61%
Total Current Assets		1,512,951,166	2,106,662,186	-593,711,020	-28.18%	15.81%	20.43%
Non-current Assets							
Property, plant and equipment		1,660,682,166	1,692,708,946	-32,026,780	-1.89%	17.36%	16.42%
Explored mineral resources		479,810,617	480,761,732	-951,115	-0.20%	5.01%	4.66%
Investment in an associate		369,184,183	369,184,183	0	0.00%	3.86%	3.58%
Advances to related party		4,940,034,589	5,075,106,906	-135,072,317	-2.66%	51.63%	49.23%
Deferred tax asset		124,219,708	124,219,708	0	0.00%	1.30%	1.20%
Other non-current assets (net)		480,792,691	460,846,595	19,946,096	4.33%	5.03%	4.47%
Total Non-current Assets		8,054,723,954	8,202,828,070	-148,104,116	-1.81%	84.19%	79.57%
TOTAL ASSETS		9,567,675,120	P 10,309,490,257	-741,815,136	-7.20%	100.00%	100.00%
LIABILITIES AND EQUITY							
Current Liabilities							
Accounts payable and other liabilities		2,009,210,861	P 2,596,623,115	-587,412,254	-22.62%	21.00%	25.19%
Dividends payable		4,764,540	4,764,540	0	0.00%	0.05%	0.05%
Income tax payable		318,817	1,627,283	-1,308,466	-80.41%	0.00%	0.02%
Total Current Liabilities		2,014,294,218	2,603,014,938	-588,720,720	-22.62%	21.05%	25.25%
Non-current Liabilities							
Advances from related party		133,602,287	133,602,287	0	0.00%	1.40%	1.30%
Provisions		276,120,484	280,480,878	-4,360,394	-1.55%	2.89%	2.72%
Retirement benefit obligation		15,591,962	15,591,962	0	0.00%	0.16%	0.15%
Total Non- Current Liabilities		425,314,733	429,675,127	-4,360,395	-1.01%	4.45%	4.17%
		2,439,608,951	3,032,690,066	-593,081,115	-19.56%	25.50%	29.42%
Equity Holders of the Parent Company							
Attributable to Equity Holders of the Parent							
Share Capital		2,878,500,005	2,878,500,005	0	0.00%	30.09%	27.92%
Share Premium		445,025,896	445,025,896	0	0.00%	4.65%	4.32%
Remeasurement loss on retirement benefit obligation – net of deferred tax		5,186,841	5,186,841	0	0.00%	0.05%	0.05%
Retained earnings							
Unappropriated		1,942,776,352	2,089,432,570	-146,656,218	-7.02%	20.31%	20.27%
Appropriated		1,700,000,000	1,700,000,000	0	0.00%	17.77%	16.49%
		6,971,489,094	7,118,145,312	-146,656,218	-2.06%	72.87%	69.04%
Non-controlling Interest		156,577,076	158,654,879	-2,077,803	-1.31%	1.64%	1.54%
Total Equity		7,128,066,169	7,276,800,191	-148,734,022	-2.04%	74.50%	70.58%
TOTAL LIABILITIES AND EQUITY	P	9,567,675,120	10,309,490,257	-741,815,136	-7.20%	100.00%	100.00%

FINANCIAL INFORMATION

Third Quarter 2025

September 30, 2025 versus September 30, 2024:

Current assets as of the third quarter of 2025 is 29.21% lower compared to the third quarter of 2024. Cash decreased by 39.89% due to payments to suppliers and operations expenses. Receivables decreased by 39.40% due to payment from clients. Inventory also decreased by 26.15%.

Non-current assets is 2.45% lower. Property, plant and equipment decreased by 0.29%, Explored mineral resources increased by 0.53%. Investment in an associate increased by 34.95%. Advances to related party decreased by 7.19%. Deferred tax asset increased by 53.58 and Other Non-current asset also increased by 9.96%.

Total assets for the third quarter of 2025 is 7.95% lower compared to the third quarter of 2024.

Total liabilities is 23.99% lower versus the third quarter of 2024. Current liabilities decreased by 30.85%. Accounts payable and other liabilities decreased by 30.91%, No changes in the Dividends payables. Income tax payable increased by P181,710. Non-current liabilities increased by 43.51%. Advances to related party increased by P133.6 million. Provisions decreased by 1.47% and Retirement benefit obligation by 3.29%.

Total equity decreased by 0.79%. No movements with the Share capital and Share premium. Remeasurement loss on retirement benefit obligation – net of deferred tax increased by P3.364million and Retained earnings decreased by 1.57% due to net loss during the period. No changes in the appropriated retained earnings. Unappropriated retained earnings decreased by 2.91%.

Total liabilities and equity is 7.95% lower compared to the third quarter of 2024.

FINANCIAL INFORMATION

Third Quarter 2025

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
INTERIM AS OF SEPTEMBER 30, 2025
In Philippine Peso

ASSETS	Note			09.30.2025 vs 09.30.2024			
		(Interim) 09.30.25	(Interim) 09.30.24	Horizontal Analysis		Vertical Analysis	
				in amount	in %	09.30.25	09.30.24
Current Assets							
Cash	P	101,981,218	P 169,667,773	-67,686,555	-39.89%	1.07%	1.63%
Receivables		192,687,651	317,980,399	-125,292,748	-39.40%	2.01%	3.06%
Inventory		1,218,282,297	1,649,808,638	-431,326,340	-26.15%	12.73%	15.87%
Total Current Assets		1,512,951,166	2,137,256,809	-624,305,643	-29.21%	15.81%	20.56%
Non-current Assets							
Property, plant and equipment		1,660,682,166	1,665,549,614	-4,867,448	-0.29%	17.36%	16.02%
Explored mineral resources		479,810,617	477,258,533	2,552,084	0.53%	5.01%	4.59%
Investment in an associate		369,184,183	273,580,223	95,603,960	34.95%	3.86%	2.63%
Advances to related party		4,940,034,589	5,322,769,105	-382,734,517	-7.19%	51.63%	51.21%
Deferred tax asset		124,219,708	80,885,131	43,334,577	53.58%	1.30%	0.78%
Other non-current assets (net)		480,792,691	437,254,203	43,538,488	9.96%	5.03%	4.21%
Total Non-current Assets		8,054,723,954	8,257,296,809	-202,572,855	-2.45%	84.19%	79.44%
TOTAL ASSETS		9,567,675,120	10,394,553,619	-826,878,498	-7.95%	100.00%	100.00%
LIABILITIES AND EQUITY							
Current Liabilities							
Accounts payable and other liabilities		2,009,210,861	2,908,232,185	-899,021,324	-30.91%	21.00%	27.98%
Dividends payable		4,764,540	4,764,540	0	0.00%	0.05%	0.05%
Income tax payable		318,817	137,107	181,710	132.53%	0.00%	0.00%
Total Current Liabilities		2,014,294,218	2,913,133,833	-898,839,614	-30.85%	21.05%	28.03%
Non-current Liabilities							
Advances from related party		133,602,287	-	133,602,287	#DIV/0!	1.40%	0.00%
Provisions		276,120,484	280,241,888	-4,121,404	-1.47%	2.89%	2.70%
Retirement benefit obligation		15,591,962	16,123,101	-531,139	-3.29%	0.16%	0.16%
Total Non- Current Liabilities		425,314,733	296,364,989	128,949,743	43.51%	4.45%	2.85%
		2,439,608,951	3,209,498,822	-769,889,871	-23.99%	25.50%	30.88%
Equity Holders of the Parent Company							
Attributable to Equity Holders of the Parent							
Share Capital		2,878,500,005	2,878,500,005	0	0.00%	30.09%	27.69%
Share Premium		445,025,896	445,025,896	0	0.00%	4.65%	4.28%
Remeasurement loss on retirement benefit obligation - net of deferred tax		5,186,841	1,822,957	3,363,884	184.53%	0.05%	0.02%
Retained earnings							
Unappropriated		1,942,776,352	2,000,912,370	-58,136,018	-2.91%	20.31%	19.25%
Appropriated		1,700,000,000	1,700,000,000	0	0.00%	17.77%	16.35%
		6,971,489,094	7,026,261,228	-54,772,134	-0.78%	72.87%	67.60%
Non-controlling Interest		156,577,076	158,793,569	-2,216,493	-1.40%	1.64%	1.53%
Total Equity		7,128,066,169	7,185,054,796	-56,988,627	-0.79%	74.50%	69.12%
TOTAL LIABILITIES AND EQUITY	P	9,567,675,120	P10,394,553,619	-826,878,498	-7.95%	100.00%	100.00%

September 30, 2024 versus September 30, 2023:

Current assets as of the third quarter of 2024 is 5.85% higher compared to the third quarter of 2023. Cash increased by Php128million due to payments and/or collections from clients. Receivables decreased by 48.19% due to collections and lesser sales. Inventories increased by 20.92%.

Non-current assets as of the third quarter of 2024 increased by 10.66% versus the third quarter of 2023. Property plant and equipment account decreased by 9.71% and Explored mineral resources by 3.02% due to depreciation and amortization respectively. Investment in an Associate increased by 8.45%. Advances to related party increased by 20.99%, Deferred Tax Asset by 27.68% and Other non-current assets by 6.74%.

FINANCIAL INFORMATION

Third Quarter 2025

Total assets as of September 30, 2024 is 9.64% higher compared to the third quarter of 2023.

Total liabilities during the third quarter of 2024 is 44.46% higher compared to the third quarter of 2023. Current Liabilities increased by 53.20% which is caused by the increased of Accounts payables and other liabilities by 53.99% though the Dividends payable decreased by 63.24% due to payments. No comparative figure for Income Tax payable. Non-current liabilities decreased by 7.46%. No comparative figure for Advances from related party. Deferred tax liability decreased by 100%. Provisions increased by 14.51% and Retirement benefit obligation by 27.11%

Total equity for the third quarter of 2024 is 1.02% lower compared to the third quarter of 2023. There is no movement in the capital stock and share premium. Retained earnings recognized during the third quarter of 2024 that is unappropriated is 3.51% lower due to loss recognized during the period. No changes in the appropriated portion of the retained earnings.

Total liabilities and equity as of September 30, 2024 is 9.64% higher compared to the third quarter of 2023..

FINANCIAL INFORMATION

Third Quarter 2025

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
In Philippine Peso

		09.30.2024 vs 09.30.2023					
A S S E T S	Note	(Interim)	(Interim)	Horizontal Analysis		Vertical Analysis	
		09.30.24	09.30.23	in amount	in %	09.30.24	09.30.23
Current Assets							
Cash	P	169,667,773	P 41,187,838	128,479,935	311.94%	1.63%	0.43%
Receivables		317,980,399	613,788,526	-295,808,128	-48.19%	3.06%	6.47%
Inventory		1,649,608,638	1,364,256,174	285,352,464	20.92%	15.87%	14.39%
Total Current Assets		2,137,256,809	2,019,232,538	118,024,271	5.85%	20.56%	21.30%
Non-current Assets							
Property, plant and equipment		1,665,549,614	1,844,757,997	-179,208,383	-9.71%	16.02%	19.46%
Explored mineral resources		477,258,533	492,134,339	-14,875,806	-3.02%	4.59%	5.19%
Investment in an associate		273,580,223	252,254,939	21,325,284	8.45%	2.63%	2.66%
Advances to related party		5,322,769,105	4,399,439,562	923,329,544	20.99%	51.21%	46.40%
Deferred tax asset		80,885,131	63,349,009	17,536,122	27.68%	0.78%	0.67%
Other non-current assets (net)		437,254,203	409,643,591	27,610,612	6.74%	4.21%	4.32%
Total Non-current Assets		8,257,296,809	7,461,579,437	795,717,372	10.66%	79.44%	78.70%
TOTAL ASSETS		10,394,553,619	9,480,811,975	913,741,644	9.64%	100.00%	100.00%
LIABILITIES AND EQUITY							
Current Liabilities							
Accounts payable and other liabilities		2,908,232,185	1,888,589,439	1,019,642,747	53.99%	27.98%	19.92%
Dividends payable		4,764,540	12,960,000	-8,195,460	-63.24%	0.05%	0.14%
Income tax payable		137,107	-	137,107	#DIV/0!	0.00%	0.00%
Total Current Liabilities		2,913,133,833	1,901,549,439	1,011,584,394	53.20%	28.03%	20.06%
Non-current Liabilities							
Advances from related party		-	-	0	#DIV/0!	0.00%	0.00%
Provisions		280,241,888	244,729,999	35,511,889	14.51%	2.70%	2.58%
Retirement benefit obligation		16,123,101	12,684,796	3,438,305	27.11%	0.16%	0.13%
Total Non- Current Liabilities		296,364,989	320,246,360	-23,881,371	-7.46%	2.85%	3.38%
		3,209,498,822	2,221,795,799	987,703,023	44.46%	30.88%	23.43%
Equity Holders of the Parent Company							
Attributable to Equity Holders of the Parent							
Share Capital		2,878,500,005	2,878,500,005	0	0.00%	27.69%	30.36%
Share Premium		445,025,896	445,025,896	0	0.00%	4.28%	4.69%
Remeasurement loss on retirement benefit obligation - net of deferred tax		1,822,957	1,976,155	-153,199	-7.75%	0.02%	0.02%
Retained earnings							
Unappropriated		2,000,912,370	2,073,619,793	-72,707,423	-3.51%	19.25%	21.87%
Appropriated		1,700,000,000	1,700,000,000	0	0.00%	16.35%	17.93%
		7,026,261,228	7,099,121,849	-72,860,622	-1.03%	67.60%	74.88%
Non-controlling Interest		158,793,569	159,894,327	-1,100,759	-0.69%	1.53%	1.69%
Total Equity		7,185,054,796	7,259,016,176	-73,961,380	-1.02%	69.12%	76.57%
TOTAL LIABILITIES AND EQUITY	P10,394,553,619	P 9,480,811,975		913,741,643	9.64%	100.00%	100.00%

FINANCIAL INFORMATION

Third Quarter 2025

Income Statement:

The table below shows the Horizontal and Vertical Analysis of Material Changes for periods ending September 30, 2025, September 30, 2024, and September 30, 2023. Consolidated Statements of Comprehensive Income (figures rounded into nearest Peso):

January-September 2025 versus January-September 2024 (nine-months period):

Gross Revenue for the third quarter of 2025 is PhP671million higher compared to the third quarter of 2024. During the nine-month period for 2025, the group managed to export fourteen (14) vessels while in 2024 the group managed to export five (5) vessels only. There were no sales made during the first four months of 2024. Nickel market price during the first half of 2024 is low compared to the first half of 2025. Revenue from the sale of nickel ore is PhP669.590million higher versus the third quarter sales in 2024. Other income composed of interest income from cash in bank and realized and unrealized FOREX gain/loss. Other income increased by PhP1.538million compared to the third quarter of 2024. Cost and expenses increased by PhP652million. This is due to increase in cost of sales by PhP463.566million, Shipping and loading cost by PhP44million, Excise and other taxes by PhP33.430million and Administrative expenses by PhP11.042million. Finance cost decreased by 1.89%. Net loss before income tax is at PhP148.734million for third quarter of 2025 and PhP167.829million as of the third quarter of 2024.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
INTERIM FOR THE THREE AND NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2025
In Philippine Peso

	(Interim) JAN-SEP '25	(Interim) JAN-SEP '24	Jan-Sep 2025 vs Jan-Sep 2024			
			Horizontal Analysis		Vertical Analysis	
			in amount	in %	09.30.25	09.30.24
COSTS AND EXPENSES						
Cost of Sales	655,838,369	192,271,957	463,566,411	241.10%	77.31%	108.53%
Shipping and loading costs	67,126,743	23,109,602	44,017,141	190.47%	7.91%	13.04%
Excise and other taxes	42,079,734	8,650,197	33,429,537	386.46%	4.96%	4.88%
Finance cost	1,091,645	1,112,719	-21,073	-1.89%	0.13%	0.63%
Administrative expenses	230,895,062	119,852,942	111,042,119	92.65%	27.22%	67.65%
	997,031,553	344,997,417	652,034,136	189.00%	117.53%	194.73%
INCOME (LOSS) BEFORE INCOME TAX	-148,734,020	-167,829,072	19,095,052	-11.38%	-17.53%	-94.73%
INCOME TAX EXPENSE (BENEFIT)						
Current	0	0	0	#DIV/0!	0.00%	0.00%
Deferred	0	0	0	#DIV/0!	0.00%	0.00%
INCOME (LOSS) FOR THE PERIOD	-148,734,020	-167,829,072	19,095,052	-11.38%	-17.53%	-94.73%
OTHER COMPREHENSIVE INCOME						
<i>Items not to be reclassified to profit or loss in subsequent periods:</i>						
Remeasurement gain (loss) on retirement benefit obligation	0	0	0	#DIV/0!	0.00%	0.00%
Deferred tax effect	0	0	0	#DIV/0!	0.00%	0.00%
	0	0	0	#DIV/0!	0.00%	0.00%
TOTAL COMPREHENSIVE INCOME (LOSS)	-148,734,020	-167,829,072	19,095,052	-11.38%	-17.53%	-94.73%
INCOME (LOSS) ATTRIBUTABLE TO:						
Equity holders of the Parent Company	-146,656,217	-165,606,156	18,949,939	-11.44%	-17.29%	-93.47%
Non-controlling interest	-2,077,803	-2,222,916	145,113	-6.53%	-0.24%	-1.25%
	-148,734,020	-167,829,072	19,095,052	-11.38%	-17.53%	-94.73%

FINANCIAL INFORMATION

Third Quarter 2025

July-September, 2025 versus July-September, 2024 (three-months period):

Gross revenue for the third quarter of 2025 is PhP110.199million higher compared to the third quarter of 2024. Sales for this period PhP87.563million higher compared to the third quarter of 2024. Other income increased by PhP22.636million. Cost and expenses is PhP61.987million higher compared to last year. Cost of sales increased by PhP84.849million, Shipping and loading costs decreased by PhP9.009million, Excise and other taxes increased by PhP4.328million, and Administrative expenses decreased by PhP18.164million. Finance costs decreased by 4.55%. Income for the period is PhP8.360million while it's a loss in 2024 at PhP39.853million.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
INTERIM FOR THE THREE AND NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2025
In Philippine Peso

	(Interim) JUL-SEP '25	(Interim) JUL-SEP '24	Jul-Sep 2025 vs Jul-Sep 2024			
			Horizontal Analysis		Vertical Analysis	
			in amount	in %	09.30.25	09.30.24
COSTS AND EXPENSES						
Cost of Sales	148,668,317	63,818,845	84,849,472	132.95%	75.84%	74.36%
Shipping and loading costs	6,385,449	15,394,391	-9,008,942	-58.52%	3.26%	17.94%
Excise and other taxes	9,031,448	4,703,274	4,328,175	92.02%	4.61%	5.48%
Finance cost	369,533	387,132	-17,599	-4.55%	0.19%	0.45%
Administrative expenses	23,213,766	41,377,597	-18,163,832	-43.90%	11.84%	48.21%
	187,668,514	125,681,239	61,987,274	49.32%	95.74%	146.43%
INCOME (LOSS) BEFORE INCOME TAX	8,359,704	-39,852,598	48,212,302	-120.98%	4.26%	-46.43%
INCOME TAX EXPENSE (BENEFIT)						
Current	0	0	0	#DIV/0!	0.00%	0.00%
Deferred	0	0	0	#DIV/0!	0.00%	0.00%
INCOME (LOSS) FOR THE PERIOD	8,359,704	-39,852,598	48,212,302	-120.98%	4.26%	-46.43%
OTHER COMPREHENSIVE INCOME						
<i>Items not to be reclassified to profit or loss in subsequent periods:</i>						
Remeasurement gain (loss) on retirement benefit obligation	0	0	0	#DIV/0!	0.00%	0.00%
Deferred tax effect	0	0	0	#DIV/0!	0.00%	0.00%
	0	0	0	#DIV/0!	0.00%	0.00%
TOTAL COMPREHENSIVE INCOME (LOSS)	8,359,704	-39,852,598	48,212,302	-120.98%	4.26%	-46.43%
INCOME (LOSS) ATTRIBUTABLE TO:						
Equity holders of the Parent Company	8,254,084	-39,346,546	47,600,630	-120.98%	4.21%	-45.84%
Non-controlling interest	105,621	-506,052	611,672	-120.87%	0.05%	-0.59%
	8,359,704	-39,852,598	48,212,302	-120.98%	4.26%	-46.43%

FINANCIAL INFORMATION

Third Quarter 2025

January-September 2024 versus January-September 2023 (nine-months period):

Gross Revenue for the third quarter of 2024 is Php194.794million lower compared to the third quarter of 2023 and Other Revenue by 115.09%. Cost and expenses decreased by 50.72%. Cost of sales is 39.15% lower compared to last year, same with the Shipping and loading costs at 84%, Excise and other taxes by 52.83% and Administrative expenses at 45.58%. Finance costs increased by 1.15%. Net Loss for the period is at Php167.829million and Php1367.506million for the third quarter of 2024 and 2023 respectively.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
INTERIM FOR THE THREE AND NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2024
In Philippine Peso

				Sept. 30, 2024 vs. Sept. 30, 2023 - 9mos. period			
		(Interim)	(Interim)	Horizontal Analysis		Vertical Analysis	
		JAN-SEP '24	JAN-SEP '23	in amount	in %	9.30.2024	9.30.2023
REVENUES							
Sale of ore	P	172,003,935	P 366,798,291	-194,794,356	-53.11%	97.09%	110.29%
Others		5,164,410	(34,235,230)	39,399,640	-115.09%	2.91%	-10.29%
		177,168,345	332,563,061	-155,394,716	-46.73%	100.00%	100.00%
COSTS AND EXPENSES							
Cost of Sales		192,271,957	315,979,218	-123,707,260	-39.15%	108.53%	95.01%
Shipping and loading costs		23,109,602	144,432,550	-121,322,948	-84.00%	13.04%	43.43%
Excise and other taxes		8,650,197	18,339,915	-9,689,718	-52.83%	4.88%	5.51%
Finance cost		1,112,719	1,100,119	12,599	1.15%	0.63%	0.33%
Administrative expenses		119,852,942	220,217,620	-100,364,678	-45.58%	67.65%	66.22%
Foreign exchange loss		-	-	0	#DIV/0!	0.00%	0.00%
		344,997,417	700,069,421	-355,072,004	-50.72%	194.73%	210.51%
INCOME (LOSS) BEFORE INCOME TAX		(167,829,072)	(367,506,361)	199,677,288	-54.33%	-94.73%	-110.51%
INCOME TAX EXPENSE (BENEFIT)							
Current		-	-	0	#DIV/0!	0.00%	0.00%
Deferred		-	-	0	#DIV/0!	0.00%	0.00%
INCOME (LOSS) FOR THE PERIOD		(167,829,072)	(367,506,361)	199,677,288	-54.33%	-94.73%	-110.51%
OTHER COMPREHENSIVE INCOME							
<i>Items not to be reclassified to profit or loss in subsequent periods:</i>							
Remeasurement gain (loss) on retireme		0	0	0	#DIV/0!	0.00%	0.00%
Deferred tax effect		0	0	0	#DIV/0!	0.00%	0.00%
		0	0			0.00%	0.00%
TOTAL COMPREHENSIVE INCOME (LOSS)	P	(167,829,072)	P (367,506,361)	199,677,288	-54.33%	-94.73%	-110.51%
INCOME (LOSS) ATTRIBUTABLE TO:							
Equity holders of the Parent Company	P	(165,606,156)	P (362,858,583)	197,252,427	-54.36%	-93.47%	-109.11%
Non-controlling interest		(2,222,916)	(4,647,778)	2,424,862	-52.17%	-1.25%	-1.40%
	P	(167,829,072)	P (367,506,361)	199,677,288	-54.33%	-94.73%	-110.51%
EARNINGS (LOSS) PER SHARE ATTRIBUTABLE TO EQUITY							
HOLDERS OF THE PARENT COMPANY	P	(0.058)	P (0.126)				

FINANCIAL INFORMATION

Third Quarter 2025

July-September 2024 versus July-September 2023 (three-months period):

Gross Revenue for the third quarter of 2024 is Php93million while there is no sales revenue during the third quarter of 2023 due to no shipment made during this three-month period. Market price continues to go down aside from the unfavorable weather conditions affecting sales and production. Other Revenue is comprised of the interest income for cash deposits maintained with the banks, unrealized FOREX gain and/or loss and other income. As of the third quarter of 2024, other revenue is Php6.944million lower compared to last year. Cost and expenses decreased by 17.02%. Cost of sales is 2.64% lower compared to last year, this account covers the production costs recognized during this period. The group focused on production and stock piling during this period. Shipping and loading decreased by 62.86%. No comparative figure for Excise and other taxes. Finance costs increased at 6.20% and administrative expenses decreased by 6.18%. Net Loss for the period is at Php39.85million and Php151.758million for the third quarter of 2024 and 2023 respectively.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
INTERIM FOR THE THREE AND NINE MONTHS PERIOD ENDING SEPTEMBER 30, 2024
In Philippine Peso

		Sept. 30, 2024 vs. Sept. 30, 2023 - 3mos. period			
		(Interim)	Horizontal Analysis		Vertical Analysis
		JUL - SEP '24	in amount	in %	9.30.2024 9.30.2023
REVENUES					
Sale of ore	P	93,065,476	93,065,476	#DIV/0!	108.43% 0.00%
Others		(7,236,834)	-6,944,940	2379.27%	-8.43% 100.00%
		85,828,641	86,120,535	-29504.06%	100.00% 100.00%
COSTS AND EXPENSES					
Cost of Sales		63,818,845	-1,727,919	-2.64%	74.36% -22455.68%
Shipping and loading costs		15,394,391	-26,057,052	-62.86%	17.94% -14200.86%
Excise and other taxes		4,703,274	4,703,274	#DIV/0!	5.48% 0.00%
Finance cost		387,132	22,605	6.20%	0.45% -124.88%
Administrative expenses		41,377,597	-2,726,363	-6.18%	48.21% -15109.59%
Foreign exchange loss		-	0	#DIV/0!	0.00% 0.00%
		125,681,239	-25,785,455	-17.02%	146.43% -51891.01%
INCOME (LOSS) BEFORE INCOME TAX		(39,852,598)	111,905,990	-73.74%	-46.43% 51991.01%
INCOME TAX EXPENSE (BENEFIT)					
Current		-	0	#DIV/0!	0.00% 0.00%
Deferred		-	0	#DIV/0!	0.00% 0.00%
INCOME (LOSS) FOR THE PERIOD		(39,852,598)	111,905,990	-73.74%	-46.43% 51991.01%
OTHER COMPREHENSIVE INCOME					
<i>Items not to be reclassified to profit or loss in subsequent periods:</i>					
Remeasurement gain (loss) on retirement benefit obligation		0	0	#DIV/0!	0.00% 0.00%
Deferred tax effect		0	0	#DIV/0!	0.00% 0.00%
		0			0.00% 0.00%
TOTAL COMPREHENSIVE INCOME (LOSS)	P	(39,852,598)	111,905,990	-73.74%	-46.43% 51991.01%
INCOME (LOSS) ATTRIBUTABLE TO:					
Equity holders of the Parent Company	P	(39,346,546)	110,316,930	-73.71%	-45.84% 51273.25%
Non-controlling interest		(506,052)	1,589,060	-75.85%	-0.59% 717.76%
	P	(39,852,598)	111,905,990	-73.74%	-46.43% 51991.01%
EARNINGS (LOSS) PER SHARE ATTRIBUTABLE TO EQUITY					
HOLDERS OF THE PARENT COMPANY	P	(0.014)			

FINANCIAL INFORMATION

Third Quarter 2025

The Company does not anticipate any cash flow or liquidity problems within the next twelve (12) months. The company expects to pay all indebtedness within stated terms. The Group's policy is to maintain liquidity at all times. Any shortfalls are addressed in advance to seek available financing internally or through third parties. Presently, no material deficiency is identified.

Financial Soundness indicators of the Company and its subsidiary are as follows:

		Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024
A. Current/Liquidity Ratios:					
Current Ratio	$= \frac{\text{Current Asset}}{\text{Current Liability}}$	0.751	0.734	1.062	0.809
Quick Ratio	$= \frac{\text{Current Asset} - \text{Inventory}}{\text{Current Liability}}$	0.146	0.167	0.344	0.151
Current Ratio	$= \frac{\text{Cash} + \text{Marketable Securities}}{\text{Current Liability}}$	0.051	0.058	0.022	0.040
B. Solvency Ratio / Debt-to-Equity Ratio:					
Solvency Ratio	$= \frac{\text{After tax profit} + \text{Depreciation/Depletion}}{\text{Long term \& Short tem liability}}$	0.000	-0.021	-0.119	0.007
Deb-to-equity ratio	$= \frac{\text{Total Liabilities}}{\text{Total equity}}$	0.342	0.447	0.306	0.417
C. Asset-to-Equity Ratio:					
Asset to equity ratio	$= \frac{\text{Total Asset}}{\text{Total equity}}$	1.342	1.447	1.306	1.417
D. Profitability Ratios:					
Net profit margin analysis	$= \frac{\text{Net Income}}{\text{Net Sales}}$	-0.177	-0.976	-1.002	-0.222
Return on assets	$= \frac{\text{Net Income}}{\text{Ave. total asset}}$	-0.015	-0.017	-0.040	-0.008
Return on equity	$= \frac{\text{Net Income}}{\text{Ave. Equity}}$	-0.021	-0.023	-0.050	-0.011
Return on capital employed	$= \frac{\text{Net Income}}{\text{Capital employed}}$ <i>capital employed = average liability + average equity</i>	-0.015	-0.017	-0.040	-0.008
E. Book Value per Share:					
Book value per share	$= \frac{\text{Total equity}}{\text{outstanding issued shares}}$	2.476	2.496	2.522	2.528
F. Income (Loss) per Share					
Income/(loss) per share	$= \frac{\text{Net income}}{\text{outstanding issued shares}}$	-0.052	-0.058	-0.128	-0.028

FINANCIAL INFORMATION

Third Quarter 2025

The Corporation's management uses the following keyperformance indicators to analyze results of operations, among other measures:

1. **Tonnes Extracted and Ore Grade** – Tonnes extracted and ore grade are key determinants of sales volume. Higher tonnage and ore grade are directly proportional to the level of revenues.
2. **Average Metal Prices** – The average metal prices to be realized for Citinickel's product are key indicators in determining the Corporation's revenue level. Selling prices for nickel laterite ore are derived from quoted world spot and forward market prices as provided in the FerroAlloyNet.
3. **Foreign Exchange Rate** – Proceeds from the sale of nickel laterite ores are all denominated in US dollars. A stronger US dollar relative to the Philippine Peso will provide the Corporation and its subsidiary higher peso sales revenue.
4. **Unit Production Cost** – Production cost per tone is a key measure of operating efficiency. A lower unit production cost will be incurred as the Corporation effectively takes advantage of economies of scale.
5. **Earnings Per Share** – The Corporation's bottom line operation results as reflected in its earnings per share is a key measure of the Corporation's effectivity in administering the operations of its subsidiary. Earnings per share is expressed as the amount per share of the Corporation's outstanding capital stock.

Barring any unforeseen circumstances, the Corporation's Board of Directors is confident that the future operating financial performance of the Corporation and its subsidiary are expected to be satisfactory in the coming period.

- i. Known trend, event or uncertainty that has or is reasonably likely to have a negative impact on the Corporation's short-term or long-term liquidity.

There are no known trends, events or uncertainties that have or are reasonably likely to have a negative impact on the Corporation's short-term or long-term liquidity.

- ii. Any known event that will trigger direct or contingent financial obligation that is material to the Corporation, including any default or acceleration of an obligation

The liquidity of the Corporation is generated from the Corporation's financial resources. The Corporation believes that it has reasonably sufficient resources to finance its working capital requirements for the next twelve (12) months and has ready access to sources of credit from both trade suppliers and financial institutions.

- iii. Material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Corporation with unconsolidated entities or other persons created during the reporting period.

There are no material off-balance sheet transactions, arrangements, obligations, and other relationships of the Corporation with unconsolidated entities or other

FINANCIAL INFORMATION

Third Quarter 2025

persons created during the reporting period.

iv. Material commitments for capital expenditures, general purpose of such commitments, expected sources of funds for such expenditures

Other than those appropriated in the retained earnings, there are no material commitments for capital expenditure during the period.

v. Known Trends, Events or Uncertainties (Material Impact on Sales)

London, April 27 (Reuters) - The nickel market price is facing a massive supply glut this year as surging Indonesian production continues to outpace global demand.

Indonesia's nickel reserve is expected to last until 2035.

vi. Significant Elements of Income or Loss (from continuing operations)

Other than the usual operations, there are no significant elements of income or loss.

vii. Known Causes for Any Material Changes from Period to Period of FS which shall include vertical and horizontal analyses of any material item (5%)

Please see the discussion on preceding pages.

viii. Unexpected seasonal aspects that had a material impact effect on the financial condition or results of operations.

There are no unexpected seasonal aspects that had a material impact effect on the financial condition or results of operations.

FINANCIAL INFORMATION
Third Quarter 2025

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized in Taguig City on OCT 30 2025.

ORIENTAL PENINSULA RESOURCES GROUP, INC.
Issuer

By:


CAROLINE L. TANCHAY
President and CEO


MIGUEL DE REGLA
Chief Finance Officer/Treasurer

**ORIENTAL PENINSULA RESOURCES GROUP, INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS - INTERIM
SEPTEMBER 30, 2025**

1. CORPORATE INFORMATION

Parent Company

Oriental Peninsula Resources Group, Inc. ("*Oriental*" or "*Parent Company*") was registered with the Philippine Securities and Exchange Commission (SEC) on April 16, 2007. It is a general investment holding corporation with registered office address at 9th Avenue corner 31st Street, Bonifacio Global City, Taguig City.

The shares of stock of the Parent Company were listed on the Philippine Stock Exchange (PSE) on December 19, 2007 through Initial Public Offering (IPO).

Subsidiary

Citinickel Mines and Development Corporation (*Citinickel*) was registered with the Philippine Securities and Exchange Commission on June 5, 2006. Citinickel's primary purpose is to prospect, explore, locate, acquire, hold, work, develop, lease, operate and exploit mineral lands for chromite, copper, manganese, magnesite, silver, gold and other mineral products.

Citinickel's principal office is at ORE Central Tower, 9th Avenue corner 31st Street, Fort Bonifacio, Taguig City

On July 4, 2007, the Parent Company acquired 94% ownership interest in Citinickel in exchange for 752,000 shares stock of the Parent Company. The acquisition resulted to the recognition of an intangible asset amounting to P746 million (see Note 12).

In 2012, the Parent Company converted portion of its advances amounting to P480,000,000 into Citinickel's share capital resulting to an increase of its ownership from 94% to 96%.

On March 12, 2015, the SEC approved the increase of Citinickel's authorized capital stock by P1,000,000,000. The increase was fully subscribed by the Parent Company of which, P926,500,000 was paid via conversion of advances and P73,500,000 was paid in cash.

As at September 30, 2025, the Parent Company has 99% ownership interest in Citinickel.

Mineral Properties

On January 3, 2007, Citinickel was granted Mineral Production Sharing Agreement (MPSA) denominated as MPSA No. 229-2007-IVB for the contract area situated in Narra and Sofronio Española, Palawan for a total of 2,176 hectares. Citinickel was given the exclusive right to conduct and develop mining operations within the mineral property over a period of 25 years commencing from its date of effectivity.

Citinickel's MPSA was obtained through a deed of assignment of MPSA application from Olympic Mines and Development Corporation to Citinickel. On June 19, 2008, Environment Compliance Certificate was granted to Citinickel for its Pulot Nickel Mining Project.

2. STATEMENT OF COMPLIANCE, BASIS OF PREPARATION, PRESENTATION AND CONSOLIDATION

Statement of Compliance

The accompanying consolidated financial statements of the Parent Company and its subsidiary (*collectively referred to as the Group*) have been prepared in accordance with generally accepted accounting principles as set forth in Philippine Financial Reporting Standards (PFRS), Philippine Accounting Standards (PAS) and Philippine Interpretations from International Financial Reporting Interpretations Committee (IFRIC) issued by the Philippine Financial Reporting Standards Council and adopted by the SEC, including SEC pronouncements.

Basis of Preparation and Presentation

The accompanying consolidated financial statements have been prepared using the historical cost basis of accounting. The consolidated financial statements are presented in Philippine Peso, the Group's functional currency and all values represent absolute amount except when otherwise indicated.

The preparation of the consolidated financial statements in conformity with PFRS requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Group's accounting policies. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiary as at September 30, 2025, December 31, 2024 (audited), September 30, 2024 and September 30, 2023 and for each of the three years. The subsidiary is fully consolidated from the date of acquisition, being the date on which the Parent Company obtains control, and continues to be consolidated until the date that such control ceases.

The financial statements of the subsidiary are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

All intra-group balances, income and expenses and unrealized gains and losses resulting from intra-group transactions are eliminated in full.

3. CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

New Accounting Standards and Amendments to Existing Standards Effective as of January 1, 2024

The accounting policies adopted are consistent with those of the previous financial year except for the adoption of the following amendments to PFRS effective beginning January 1, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

Amendments to PAS 1, Presentation of Financial Statements – Classification of Liabilities as Current or Non-current

The amendments clarify paragraphs 69 to 76 of PAS 1, Presentation of Financial Statements, to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments are effective for annual reporting periods beginning on or after January 1, 2023 and must be applied retrospectively. However, in November 2021, the International Accounting Standards Board (IASB) tentatively decided to defer the effective date to no earlier than January 1, 2024. The amendments did not have a material impact on the Group's consolidated financial statements.

Amendments to PFRS 16, Leases - Lease Liability in a Sale and Leaseback

The amendments clarify that the liability that arises from a sale and leaseback transaction, that satisfies the requirements of PFRS 15, Revenue from Contracts with Customers, to be accounted for as a sale, is a lease liability to which PFRS 16 applies and give rise to a right-of-use asset. For the subsequent measurement, the seller-lessee shall determine 'lease payments' or 'revised lease payments' in a way that the seller-lessee would not recognize any amount of the gain or loss that relates to the right of use retained by the seller-lessee. Applying this subsequent measurement does not prevent the seller-lessee from recognizing any gain or loss relating to the partial or full termination of lease. Any gain or loss to the partial or full termination of the lease does not relate to the right of use retained but to the right of use terminated.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively. Early application is permitted. The amendments did not have a material impact on the Group's consolidated financial statements.

Amendments to PAS 7 and PFRS 7, Supplier Finance Arrangements

The amendments added disclosure requirements, and 'signposts' within existing disclosure requirements, that ask entities to provide qualitative and quantitative information about supplier finance arrangements.

The amendments are effective for annual periods beginning on or after January 1, 2024 with earlier adoption permitted. The amendments are not expected to have an impact on the Group's consolidated financial statements.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively. Early application is permitted. The amendments did not have a material impact on the Group's consolidated financial statements.

New Accounting Standard, Amendments to Existing Standards and Interpretations Effective Subsequent to December 31, 2024

The standards, amendments and interpretations which have been issued but not yet effective as at December 31, 2024 are disclosed below. Except as otherwise indicated, the Group does not expect the adoption of the applicable new and amended PFRS to have a significant impact on its financial position or performance.

Effective beginning on or after January 1, 2025

Amendments to PAS 1, Lack of Exchangeability

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information. The amendments are not expected to have a material impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2026

Amendments to PFRS 9 and PFRS 7, Classification and Measurement of Financial Instruments

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met. The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments. The expected adoption will not materially affect the Group.

Annual Improvements to PFRS Accounting Standards - Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments

- *Amendments to PFRS 1, Hedge Accounting by a First-time Adopter*
The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.
- *Amendments to PFRS 7, Gain or Loss on Derecognition*
The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.
- *Amendments to PFRS 9*
 - a) *Lessee Derecognition of Lease Liabilities*
The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.
 - b) *Transaction Price*
The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15 Revenue from Contracts with Customers' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.

- Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.

The expected adoption of these amendments will not materially affect the Group.

Effective beginning on or after January 1, 2027

PFRS 17, Insurance Contracts

PFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of PFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of the financial statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

The key principles in PFRS 17 are that an entity:

- Identifies as insurance contracts those contracts under which the entity accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder;
- Separates specified embedded derivatives, distinct investment components and distinct performance obligations from the insurance contracts;
- Divides the contracts into groups that it will recognize and measure;
- Recognizes and measures groups of insurance contracts at:
 - i. a risk-adjusted present value of the future cash flows (the fulfilment cash flows) that incorporates all of the available information about the fulfilment cash flows in a way that is consistent with observable market information; plus (if this value is a liability) or minus (if this value is an asset); or
 - ii. an amount representing the unearned profit in the group of contracts (the contractual service margin);
- Recognizes the profit from a group of insurance contracts over the period the entity provides insurance cover, and as the entity is released from risk. If a group of contracts is or becomes loss-making, an entity recognizes the loss immediately;
- Presents separately insurance revenue (that excludes the receipt of any investment component), insurance service expenses (that excludes the repayment of any investment components) and insurance finance income or expenses; and
- Discloses information to enable users of the financial statements to assess the effect that contracts within the scope of PFRS 17 have on the financial position, financial performance and cash flows of an entity.

On February 14, 2025, the FSRSC approved the amendment to PFRS 17, *Insurance Contracts* that further defers the date of initial application by an additional of two (2) years, to annual periods beginning on or after January 1, 2027. This is consistent with Circular Letter No. 2025-04 issued by the Insurance Commission dated March 10, 2005.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2027, with comparative figures required. Early application is permitted. The new standard is not applicable to the Parent

Company since it has no activities that are predominantly connected with insurance or issue insurance contracts.

PFRS 18, Presentation and Disclosure in Financial Statements

The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

The expected adoption of this standard will not materially affect the Group.

PFRS 19, Subsidiaries without Public Accountability

The standard allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

The expected adoption of this standard will not materially affect the Group.

Deferred effectivity

PFRS 10, *Consolidated Financial Statements* and PAS 28, *Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

These amendments address an acknowledged inconsistency between the requirements in PFRS 10 and those in PAS 28 in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The amendments require that a full gain or loss is recognized when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognized when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.

These amendments are originally effective from annual periods beginning on or after January 1, 2016. This mandatory adoption date was later on deferred indefinitely pending the final outcome of the IASB's research project on International Accounting Standards 28. Adoption of these amendments when they become effective will not have any impact on the consolidated financial statements.

4. SUMMARY OF MATERIAL ACCOUNTING POLICIES AND DISCLOSURES

The material accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Current versus Non-Current Classification

The Group presents assets and liabilities in the consolidated statements of financial position based on current/non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle;
- Held primarily for the purpose of trading; or
- Expected to be realized within twelve months after the end of the reporting period; or

- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the end of the reporting period.

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the end of the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the end of the reporting period.

The Group classifies all other liabilities as non-current.

Financial Instruments

Date of recognition

The Group recognizes a financial asset or a financial liability in the consolidated statement of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets, recognition and de-recognition, as applicable, that require delivery of assets within the time frame established by regulation or convention in the market place are recognized on the transaction date.

Initial recognition

Financial instruments are recognized initially at fair value, which is the fair value of the consideration given (in case of an asset) or received (in case of a liability). The Group's initial measurement of financial instruments, except for those classified as FVPL, includes transaction cost. For trade receivables, they are measured at the transaction price determined under PFRS 15.

Classification and measurement of financial assets

Financial assets are classified in their entirety based on the contractual cash flows characteristics of the financial assets and the Group's business model for managing the financial assets. The Group classifies and measures its financial assets into the following measurement categories:

- financial assets measured at amortized cost
- financial assets measured at FVPL
- financial assets measured at FVOCI, where gains or losses in fair value is recognized to profit or loss
- financial assets measured at FVOCI, where cumulative gains or losses previously recognized are not reclassified to profit or loss

If the financial asset is held within a business model whose objective is to hold assets to collect contractual cash flows or within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, the Group assesses whether the cash flows from the financial asset represent solely payments of principal and interest (SPPI) on the principal amount outstanding. In making this assessment, the Group determines whether the contractual cash flows are consistent with a basic service arrangement, i.e., interest includes consideration only for the time value of money, credit risk and other risks and costs associated with holding the financial asset for a particular period of time.

The Group's business model is determined at a level that reflects how a group of financial assets are managed together to achieve a particular business objective. The Group's business model does not depend on management's intentions for an individual instrument. The Group's business model refers to how it manages its financial assets in order to generate cash flows. The Group's business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both. Relevant factors considered by the Group in determining the business model for a group of financial assets include how the performance of the business model and the financial assets held within that business model are evaluated and reported to the Group's key management personnel, the risks that affect the performance of the business model (and the financial assets held within that business model) and how these risks are managed and how managers of the business are compensated.

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, the Group's financial assets consists of (i) financial assets at FVPL and (ii) financial assets measured at amortized cost. These are captioned in the statement of financial position as cash, receivables, advances to related parties and mine rehabilitation fund.

- *Financial assets at FVPL*

Financial assets at FVPL include financial assets held for trading and financial assets designated upon initial recognition as at FVPL. After initial recognition, financial assets at FVPL are carried at fair value.

A financial asset is classified as held for trading if:

- It has been acquired principally for the purpose of selling in the near future; or
- It is part of an identified portfolio of financial instruments that the Group manages together and has recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial asset other than a financial asset held for trading may be designated as at FVPL upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial asset forms part of a group of financial assets that is managed and its performance is evaluated on a fair value basis.
- It forms part of a contract containing one or more embedded derivatives.

- *Financial assets measured at amortized cost*

A financial asset is measured at amortized cost if:

- It is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. These financial assets are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the EIR method, less any impairment in value.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in the consolidated statements of comprehensive income when the asset is derecognized, modified or impaired.

As of September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, the Group's financial assets under this category include cash, short-term investments and advances to related parties.

Classification and subsequent measurement of financial liabilities

The Company determines the classification of financial liabilities, at initial recognition based on the following categories:

- financial liabilities at FVPL
- other financial liabilities

After initial recognition, other financial liabilities are carried at amortized cost, taking into account the impact of applying the effective interest method of amortization for any direct attributable transaction cost. Gains or losses on financial liabilities are recognized in profit or loss when the liabilities are derecognized.

Financial liabilities as of September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 are categorized as *Other financial liabilities*. These include accounts payable and other liabilities, dividends payable and other obligations that meet the above definition (other than liabilities covered by other accounting standards).

Reclassification of financial assets

The Group can only reclassify financial assets if the objective of its business model for managing those financial assets changes. Accordingly, the Group is required to reclassify financial assets:

- (i) from amortized cost to FVPL, if the objective of the business model changes so that the amortized cost criteria are no longer met; and,
- (ii) from FVPL to amortized cost, if the objective of the business model changes so that the amortized cost criteria start to be met and the characteristic of the instrument's contractual cash flows meet the amortized cost criteria.

A change in the objective of the Group's business model will be effected only at the beginning of the next reporting period following the change in the business model.

Derecognition of financial assets and financial liabilities

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement
- the Group has transferred its rights to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of ownership of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of ownership of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of ownership of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. If a transfer of financial asset does not result in derecognition since the Group has retained substantially all the risks and rewards of the ownership of the transferred asset, the Group continues to recognize the transferred asset in its entirety and recognizes a liability for the consideration received.

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such modification is treated as the derecognition of the carrying value of the original liability and the recognition of a new liability at fair value, and any resulting difference is recognized in profit or loss.

Impairment of financial assets

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL).

For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. The Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if there is a currently enforceable legal right to set off the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Cash

Cash represents cash in banks.

Short-Term Investments

These are short-term cash investments with original maturities of more than three months but less than one year.

Inventories

Inventories represent beneficiated nickel ore consisting of Limonite and Saprolite. Limonite are nickel ore with iron content of 20% or higher while Saprolite are nickel ore with iron content of less than 20%. Inventories are valued at the lower of cost and net realizable value (NRV). Cost consists of contractual services, depreciation, depletion and other costs that are directly attributable in bringing the ore in its saleable conditions. Cost is determined by the moving average production and handling cost during the period. NRV is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale. Any write-down of inventory to NRV is recognized in the statement of comprehensive income in the period the write-down occurs. Periodic ore inventory survey is performed to determine the volume of ore inventory.

Stripping Costs

The costs of stripping activity resulting to a benefit to be realized in the form of inventory are accounted for in accordance with principles of inventory. Stripping costs activity which provides a benefit in the form of improved access to ore is recognized as a non-current "Stripping Activity Asset". A stripping activity asset is initially measured at cost and subsequently carried at cost or its revalued amount less depreciation or amortization and impairment losses.

Explored Mineral Resources

The subsidiary's financial statements did not recognize in its books the mineral resources from its mineral property right but was recognized in the business combination with the Parent Company. This requires the Parent Company to use recognition and measurement practices that are part of those accounting policies in PFRS 6, Exploration for and Evaluation of Mineral Resources and PAS 38, Intangible Assets. The measurement and recognition of explored mineral resource is based on an independent valuation over the mineral property of Citinickel as supported by the Mineral Production Sharing Agreement (MPSA) and the expected value of the mineable ore reserve in the explored area of the Mineral Property. MPSA can be transferred for value and the mineable ore reserve identified in the explored area of the Mineral Property can be extracted, produced and sold.

Depletion of explored mineral resources is calculated using the units-of-production method based on estimated recoverable reserves, as this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

Amortization shall begin when the nickel ore extraction begins or when the mine site is in the condition when it is capable to operate in the manner intended by management, whichever is earlier. Amortization shall cease at the earlier of the date that the intangible asset is classified as held for sale in accordance with PFRS 5 and the date that asset is derecognized.

The estimated recoverable reserves and the amortization method are reviewed periodically to ensure that the estimated recoverable reserves and method of depletion are consistent with the expected pattern of economic benefits from the explored mineral resources. If the estimated recoverable reserve is different from previous estimates, the basis of depletion shall be changed accordingly.

Impairment of explored mineral resources

The Parent Company recognizes Explored Mineral Resources and performs an impairment test on those assets when facts and circumstances suggest that the carrying amount of the assets may exceed their recoverable amounts. The Parent Company's policy on recognition of impairment varies from that in PAS 36, but measures the impairment in accordance with the standard once the impairment is identified. For purposes of explored mineral resources, when identifying an exploration and evaluation assets that may be impaired, one or more of the following facts and circumstances indicate that the Parent Company should test its assets for impairment: the period for which the entity

has the right to explore in the specific areas has expired during the period or will expire in the near future, and is not expected to be renewed; substantive expenditure on further exploration for and evaluation of mineral resources in the specific area is neither budgeted nor planned; exploration for and evaluation of mineral resources in the specific area have not led to the discovery of commercially viable quantities of mineral resources and the entity has decided to discontinue such activities in the specific area; and sufficient data exist to indicate that, although a development in the specific area is likely to proceed, the carrying amount of the exploration and evaluation asset is unlikely to be recovered in full from successful development or by sale.

Property, Plant and Equipment

The initial cost of property, plant and equipment consists of its purchase price, including import duties, taxes, borrowing costs and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property, plant and equipment have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to income in the period in which costs are incurred. In situations where it can be clearly demonstrated that the expenditures would result in an increase in future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional cost of such property, plant and equipment.

Upon completion of mine construction, the assets are transferred to property, plant and equipment under "*Pier, road networks and other surface structures*". Mine properties, including mine rehabilitation asset are stated at cost, less accumulated depletion and accumulated impairment losses, if any.

Property, plant and equipment are subsequently stated at cost less accumulated depletion and depreciation and accumulated impairment losses, if any.

When a mine construction project moves into the production stage, the capitalization of certain mine construction costs ceases and costs are either regarded as inventory or expense, except for costs which qualify for capitalization relating to mining asset additions or improvements and mineable reserve development.

Depreciation is computed using the straight-line method over the estimated useful lives of the assets as follows:

	Estimated useful life
Beneficiation plant	10 years
Machineries and equipment	5-10 years
Transportation equipment	5-8 years
Furniture, fixtures and equipment	2-5 years

During mining operation, depletion or amortization of mine and mining properties, including mine rehabilitation asset is calculated using the units-of-production method based on estimated recoverable reserves.

Depreciation or amortization of an item of property, plant and equipment begins when it becomes available for use, i.e., when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The estimated recoverable reserves, useful lives, and depreciation and amortization methods are reviewed periodically to ensure that the estimated recoverable reserves, residual values, periods and

methods of depletion and depreciation are consistent with the expected pattern of economic benefits from the items of property, plant and equipment. The assets' residual values are reviewed and adjusted, if appropriate, at each reporting date.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. When assets are derecognized, the cost and related accumulated depletion and depreciation and accumulated impairment losses are removed from the accounts and any resulting gain or loss is reflected in the consolidated statements of comprehensive income.

Investment in Associate

An associate is an entity over which the Group is able to exert significant influence but not control and which are neither subsidiaries nor interests in a joint venture. Investment in an associate is initially recognized at cost and subsequently accounted for using the equity method. The equity method of accounting for investment in associate recognizes the changes in the Group's share of net assets of the associate. The share in the net results of the operations of the associate is reported as *Equity in Net Loss/Earnings of an Associate* reported in the Consolidated Statement of Comprehensive Income. However, when the Group's share of losses in an associate equals or exceeds its interest in the associate the Group does not recognize further losses, unless it has incurred obligations or made payments on behalf of the associate. If the associate subsequently reports profits, the investor resumes recognizing its share of those profits only after its share of the profits exceeds the accumulated share of losses that has previously not been recognized. Changes resulting from other comprehensive income of the associate or items recognized directly in the associate's equity are recognized in other comprehensive income or equity of the Group, as applicable.

Distributions received from the associates are accounted for as a reduction of the carrying value of the investment.

If significant influence is lost over the associate, the Group measures the carrying value of investment at its fair value. The difference, if any, upon the loss of significant influence over its associate is reported in the Consolidated Statement of Comprehensive Income.

The reporting dates of the associate and the Parent Company are identical and the accounting policies of the associate conform to those used by the Parent Company for like transactions and events in similar circumstances.

Impairment of investment in associate

The Group determines at each balance sheet date whether there is any objective evidence that investment in an associate is impaired. If this is the case, the Group calculates the amount of impairment as being the difference between the recoverable amount of the investment in an associate and the carrying amount of the investment, and recognizes the amount in the Consolidated Statement of Comprehensive Income.

Investment in associate is subsequently reassessed for indications that an impairment loss previously recognized may no longer exist and the carrying amount of the asset is adjusted to the recoverable amount resulting in the reversal of the impairment loss.

Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

Other Non-Current Assets

Other non-current assets of the Group include deferred mine exploration cost, mine rehabilitation fund (MRF), input vat, software and other deposits. Aside from MRF which are restricted as to withdrawal for specific purpose, these are classified as non-current since the Group expects to utilize the assets beyond twelve (12) months from the end of the financial reporting period.

Deferred mine exploration cost

Expenditures for the acquisition of property rights are capitalized. Expenditures for mine exploration work prior to drilling are charged to operations. When it has been established that a mineral deposit is commercially mineable and a decision has been made to formulate a mining plan (which occurs upon completion of a positive economic analysis of the mineral deposit), costs subsequently incurred to develop a mine on the property prior to the start of mining operations are capitalized. Upon start of commercial operations, such costs are transferred to property, plant and equipment. Capitalized amounts may be written down if future cash flows, including potential sales proceeds related to the property, are projected to be less than the carrying value of the property. If no mineable ore body is discovered, capitalized acquisition costs are expensed in the period in which it is determined that the mineral property has no future economic value. Costs incurred during the start-up phase of a mine are expensed as incurred. Ongoing mining expenditures on producing properties are charged against earnings as incurred. Major development expenditures incurred to expose the ore, increase production or extend the life of an existing mine are capitalized.

Computer software

Computer software is amortized on a straight-line basis over its estimated useful economic life of five years and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization commences when the computer software is available for use. The amortization period is reviewed at each financial year-end. Changes in the estimated useful life is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense is recognized in the Group's comprehensive income.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the Group's consolidated statement of comprehensive income when the asset is derecognized.

Impairment of non-financial assets

Inventories

The Group determines the NRV of inventories at each end of the financial reporting period. If the cost of the inventories exceeds its NRV, the asset is written down to its NRV and impairment loss is recognized in the consolidated statement of comprehensive income in the year the impairment is incurred. In the case when NRV of the inventories increased subsequently, the NRV will increase the carrying amounts of inventories but only to the extent of their original acquisition cost.

Property, plant and equipment, deferred mine exploration cost, software and other non-financial assets

The Group assesses, at each end of the financial reporting period, whether there is an indication that the asset may be impaired. Assets are reviewed for impairment when events or changes in circumstances indicate that their carrying values may not be recoverable. If any such indication exists and where the carrying values exceed the estimated recoverable amount, the asset or cash generating unit (CGU) are written down to their recoverable amount. The recoverable amount of these non-financial assets is the higher of an asset's or CGU's fair value less costs to sell and its value in

use. Fair value less costs to sell is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date less the costs of disposal, while value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs. Impairment losses are recognized in the consolidated statement of comprehensive income.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. In such instance, the carrying amount of the asset is increased to its recoverable amount. However, that increased amount cannot exceed the carrying amount that would have been determined, net of any depreciation and depletion, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss. After such reversal, the depreciation and depletion charges are adjusted in future years to allocate the asset's revised carrying amount, on a systematic basis over its remaining useful life.

Equity

Share capital is determined using the par value of shares that have been issued.

Share premium represents contribution of shareholders to the Parent Company in excess of the par value.

Retained earnings includes all current and prior period results as disclosed in the consolidated statements of comprehensive income.

Other Comprehensive Income

Other comprehensive income comprises items of income and expenses that are not recognized in the profit or loss for the year in accordance with PFRS.

Revenue From Contracts With Customers

The Group is principally engaged in the business of producing beneficiated nickel ore. Revenue from contracts with customers is recognized when control of the goods is transferred to the customer. Revenue is measured at the transaction price which the Group expects to be entitled in exchange for those goods. The Group has generally concluded that it is the principal in its revenue contracts because it typically controls the goods or services before transferring them to the customer.

The following specific recognition criteria must also be met before revenue is recognized.

- *Revenue from sale of beneficiated nickel ore*
Revenue is recognized when control passes to the customer, which occurs at a point in time when the ore is physically transferred onto a vessel. The revenue is measured at the amount to which the Group expects to be entitled, being the estimate of the price expected to be received.

- *Interest income*
Interest income is recognized on a time proportion basis using the effective interest rate that takes into account the effective yield on the asset.
- *Dividend income*
Dividend income is recognized when the Group's right to receive the payment is established.
- *Other income*
Revenue is recognized in the consolidated statements of comprehensive income as they are earned.

Cost and Expense Recognition

Cost and expenses are decreases in economic benefits during the financial reporting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decrease in equity, other than those relating to distributions to equity participants. Cost and expenses, finance expenses and other charges are generally recognized when the expense arises, incurred or accrued in the appropriate period.

- *Cost of sales*
Cost of sales is incurred in the normal course of business and is recognized when incurred. They comprise mainly of cost of goods sold, which are provided in the period when goods are delivered.
- *Operating expenses*
Operating expenses consist of excise taxes and royalties due to the government and to indigenous people, costs of shipping and loading which are expenses incurred in connection with the distribution of ores, and expenses incurred in the direction and general administration of day-to-day operation of the Company. These are generally recognized when the expense arises.

Employee Benefits

The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of the plan assets, adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in the future contributions to the plan.

The cost of providing benefits under the defined benefit plans actuarially determined using the projected unit credit (PUC) method.

Defined benefit costs comprise the following:

- service cost;
- net interest on the net defined benefit liability or asset; and
- remeasurements of net defined benefit liability or asset.

Service costs, which include current service costs, past service costs and gains or losses on non-routine settlements, are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined liability or asset that arises from the passage of time which is determined by applying the discount rate based on Government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which they arise. Re-measurements are not reclassified to profit or loss in subsequent periods.

Foreign Currency-Denominated Transactions

Transactions denominated in foreign currency are recorded using the exchange rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are revalued using the closing exchange rate at the end of reporting period. Foreign exchange gains or losses are credited to or charged against current operations.

Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in PFRS 16.

As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset of the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case, the right-of-use asset will be depreciated over the useful life of the underlying asset which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments, including in-substance fixed payments;

- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group used a number of practical expedients when applying PFRS 16 to leases previously classified as operating leases under PAS 17. In particular, the Group:

- Did not recognized right-of-use assets and liabilities for leases for which the lease term ends within 12 months from the date of initial application;
- Excluded initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- Used hindsight when determining the lease term.

Short-term leases and leases of low-value assets

The Group has elected not to recognize right-of-use assets and lease liabilities for the leases of low-value assets and short-term leases. The Group recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Borrowing Cost

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period these occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

Income Taxes

Current tax liabilities are measured at the amount expected to be paid to the tax authority. The tax rates and tax laws used to compute the amount are those that have been enacted or substantially enacted as at the reporting date.

Deferred tax assets and liabilities are recognized using the balance sheet method on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognized for all deductible temporary differences and the carry-forward of unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deferred tax asset can be utilized. Deferred tax liabilities are recognized

for all taxable differences between the financial and tax reporting bases of liabilities. Deferred tax assets and liabilities are measured at the tax rates expected to apply to the periods when the asset is realized or the liability is settled.

The carrying amount of deferred tax asset is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized.

Most changes in deferred tax assets and liabilities are recognized as a component of tax expense in the consolidated statement of comprehensive income. Only changes in deferred tax assets and liabilities that relate to items recognized directly to equity are recognized in equity and other comprehensive income.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred tax relate to the same taxable entity and the same taxation authority.

Basic Earnings Per Common Share

Basic and diluted earnings per common share are computed by dividing the net income or loss attributable to the common shareholders by the weighted average number of common shares outstanding after giving retroactive effect to stock dividend declarations, if any, and changes in capital structure.

Business Combination

On the acquisition of a subsidiary, the purchase method of accounting is applied whereby the purchase consideration is allocated to the identifiable assets, liabilities and contingent liabilities (identifiable net assets) on the basis of fair value at the date of acquisition. Those mineral reserves and resources that can be reliably measured are recognized in the assessment of fair values on acquisition.

The cost of the business combination is the aggregate of: (a) the fair values at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the acquirer in exchange for control of the acquiree; and (b) and costs directly attributable to the business combination.

If the fair value attributable to the Parent Company's share of the identifiable net assets exceeds the consideration, the Parent Company reassesses whether it has correctly identified and measured the assets acquired and liabilities assumed and recognizes any additional assets or liabilities that are identified in that review. If that excess remains after reassessment, the Parent Company recognizes the resulting gain in the statement of comprehensive income on the acquisition date.

Related Party Transactions and Relationships

Related party relationships exist when one party has the ability to control, directly or indirectly, through one or more intermediaries, the other party or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities, which are under common control with the reporting entity, or between, and/or among the reporting entity and its key management personnel, directors, or shareholders.

Provisions

General

Provisions are recognized when the Group has a present legal or constructive obligation as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Provisions are measured at the estimated expenditure required to settle the present obligation, based on the most reliable evidence available at the end of reporting period, including the risks and uncertainties associated with the present obligation. Any reimbursement expected to be received in the course of settlement of the present obligation is recognized, if virtually certain as a separate asset, not exceeding the amount of the related provision. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. In addition, long-term provisions are discounted to their present values, where time value of money is material.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate.

In those cases where the possible outflow of economic resources as a result of present obligations is considered improbable or remote, or the amount to be provided for cannot be measured reliably, no liability is recognized in the consolidated financial statements.

Probable inflows of economic benefits that do not yet meet the recognition criteria of an asset are considered contingent assets, hence, are not recognized in the consolidated financial statements.

Provision for site rehabilitation

The Group records the present value of estimated costs of legal and constructive obligation required to restore operating locations in the period in which the obligation is incurred. The nature of these restoration activities includes dismantling and removing of structures, dismantling operating facilities and restoration, reclamation and reforestation of affected areas. The obligation generally arises when the ground/environment is disturbed at the production location. When the liability is initially recognized, the present value of the estimated cost is capitalized by increasing the carrying amount of the related mine assets. Overtime, the discounted liability is increased for the change in present value based on the discount rates that reflect current market assessments and the risks specific to the liability. The periodic unwinding of the discount is recognized in profit or loss as a finance cost. Additional changes in rehabilitation costs will be recognized as additions or charges to the corresponding assets and rehabilitation liability when they occur.

Mine Rehabilitation Fund (MRF) committed for use in satisfying environmental obligations is included in "Other non-current assets" in the consolidated statements of financial position.

Contingencies

Contingent liabilities are not recognized in the financial statements but are disclosed in the notes to the financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements when an inflow of economic benefits is probable.

Segment reporting

Operating segment is a component of an entity that engages in business activities from which it may earn revenues and incur expenses whose operating results are regularly reviewed by the chief operating decision maker to make decisions about how resources are to be allocated and for which discrete financial information is available.

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, the Group's operating segment consists only of its mining activities. Segment information is disclosed in Note 35.

Events after the reporting date

Any event after the reporting date that provides additional information about the Group's financial position at reporting date (adjusting event) is reflected in the financial statements. Any event after the reporting date that is not an adjusting event is disclosed in the notes to the consolidated financial statements when material.

5. SUMMARY OF SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of the consolidated financial statements in conformity with PFRS requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Judgments are made by management on the development, selection and disclosure of the Group's critical accounting policies and estimates and the application of these policies and estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the consolidated financial statements:

Assessing the ability of the Group to continue as a going concern

The Group received an order of Suspension of Mining Operations (*see Note 1*). Management and its legal counsel believe that the order has no basis and the outcome of legal actions taken will not have a material adverse effect on the Group's operations. The Group has continued its mining operations in the area covered by the MPSA and has continuously been granted the necessary regulatory permits and licenses to operate (*see Note 35*). Accordingly, the management assessed that the Group will continue as a going concern.

Determination of functional currency

The Group, based on the relevant economic substance of the underlying circumstances, has determined its functional currency to be the Philippine Peso. The functional currency is the currency of the primary economic environment in which the Group primarily operates. It is the currency that mainly influences labor, materials and other costs of providing goods and services.

Revenue recognition – Identifying performance obligation

The Group assessed that performance obligation for the sale of mine products are satisfied at a point in time. The Group uses its judgment on when a customer obtains control of the promised goods. The Group has assessed that the actual delivery of mine products to the customer is the point in time when the performance obligation has been satisfied.

Revenue recognition – Timing of recognition

The Group recognizes revenue when it satisfied an identified performance obligation by transferring a promised goods to a customer. Mine products are considered to be transferred when the customer obtains control. The Group determines, at contract inception, whether it will transfer control of a promised service over time. If the Group does not satisfy a performance obligation over time, the performance obligation is satisfied at point in time.

The Group concluded that revenues from sale of mine products are to be recognized at point in time since customers receive and consume the benefits as the Group delivers the mine products.

Determining the Group's business model

The Group's business model is determined at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group's business model does not depend on management's intentions for an individual instrument. The Group's business model refers to how it manages its financial assets in order to generate cash flows. The Group's business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both. Relevant factors considered by the Group in determining the business model for a group of financial assets include how the performance of the business model and the financial assets held within that business model are evaluated and reported to the Group's key management personnel, the risks that affect the performance of the business model (and the financial assets held within that business model) and how these risks are managed and how managers of the business are compensated.

Capitalization of mine exploration cost

The application of the Group's accounting policy for exploration and evaluation expenditure requires judgment in determining whether it is likely that future economic benefits are likely, either from future exploration, or sale, or where activities have not reached a stage which permits a reasonable assessment of the existence of reserves. The deferral policy requires management to make certain estimates and assumptions about future events or circumstances, in particular, whether an economically viable extraction operation can be established. Estimates and assumptions made may change if new information becomes available. If, after expenditure is capitalized, information becomes available suggesting that the recovery of expenditure is unlikely, the amount capitalized is written off in the consolidated statements of comprehensive income in the period when the new information becomes available.

Commencement of mining production

The Group assesses the stage of mine property under construction to determine when a mine moves into the production stage. When a mine construction project moves into the production stage, the

capitalization of certain mine construction costs ceases and costs are either regarded as inventory or expense, except for costs that qualify for capitalization relating to mining asset additions or improvements, underground mine development or mineable reserve development. It is also at this point that depreciation/amortization is recorded.

Sale of beneficiated nickel ore

In the sale of beneficiated nickel ore, the Group and its buyers agree to respectively sell and purchase a specific quantity of nickel ore during the term of the sales contracts. This performance obligation is a promise to transfer to the buyer distinct goods (i.e. nickel ore) that shall be satisfied at a point in time. It is distinct within the context of the sales contracts because it is not integrated, not highly interdependent on or highly interrelated with other promised services in the contract. The obligation is to transfer nickel ore which shall be satisfied once the control to the goods has been transferred to the buyer at a point in time. A good is considered to be transferred when the customer obtains control. It is capable of being distinct since the customers can benefit from it in conjunction with other readily available resources.

The Group did not identify any variable consideration in its revenue transactions with customers in 2025, 2024, and 2023.

Estimates

The key estimates and assumptions concerning the future and other key sources of estimation of uncertainty as at the end of the reporting period, that have the most significant risk of causing a material adjustment to the carrying amounts of assets within the next financial year are as follows:

Estimating useful lives of property, plant and equipment

The Group estimates the useful lives of property, plant and equipment based on the period over which the assets are expected to be available for use. The estimated useful lives are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear or tear, commercial obsolescence and legal or other limits on the use of the assets.

Probability of default (PD)

PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.

Estimating ECL of trade receivables

The Group uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due balances that have similar loss patterns. The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

As of September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, no allowance for ECL was provided as management believes trade receivables are fully collectible, evidenced by subsequent collection of these receivables and good financial capacity of customers.

Estimating NRV of inventories

The carrying value of inventories is carried at lower of cost and NRV. The estimates used in determining NRV is dependent on the recoverability of its cost with reference to existing market prices, location or the recent market transactions. The amount and timing of recorded cost for any period would differ if different estimates were used.

Recoverability and estimates of explored mineral resources

Mineral reserves and resources estimates for development projects are, to a large extent, based on the interpretation of geological data obtained from drill holes and other sampling techniques and feasibility studies which derive estimates of costs based on anticipated tonnage and grades of ores to be mined and processed, the configuration of the ore body, expected recovery rates from the ore, estimated operating costs, estimated climatic condition and other factors. Proven reserves estimates are attributed to future development projects only where there is a significant commitment to project funding and extractions and for which applicable governmental and regulatory approvals have been secured or are reasonably certain to be secured. All proven reserve estimates are subject to revision, either upward or downward, based on new information, such as from block grading and production activities or from changes in economic factors including product prices, contract terms or development plans.

Estimates of reserves for underdeveloped or partially developed area are subject to greater uncertainty over their future life than estimates of reserves for areas that are substantially developed and depleted. As an area goes into production, the amount of proven reserves will be subject to future revision once additional information becomes available. As those areas are further developed, new information may lead to revisions.

Estimating depletion rate and ore recoverable reserves

Depletion rates used to amortize mining properties and mine are assessed on an annual basis based on the results of latest estimate of recoverable reserve, which is subject to future revisions. The Group estimates its ore reserves and mineral resources based on information compiled by appropriately qualified persons relating to the geological data on the size, depth and shape of the ore body, and requires complex geological judgments to interpret the data. The estimation of recoverable reserves is based upon factors such as estimates of commodity value, future capital requirements, and production costs along with geological assumptions and judgments made in estimating the size and grade of the ore body. Changes in the reserve or resource estimates may impact upon the carrying value of mine properties, property, plant and equipment, provision for rehabilitation, recognition of deferred tax assets, and depreciation and amortization charges.

Estimating provision for mine rehabilitation and decommissioning

The Group is legally required to fulfill certain obligations under its Mineral Production Sharing Agreement (MPSA) and Environmental Compliance Certificate (ECC) issued by the DENR when it abandons depleted mine pits. Significant estimates and assumptions are made in determining the provision for mine rehabilitation as there are numerous factors that will affect the ultimate liability. These factors include estimates of the extent and costs of rehabilitation activities, technological changes, regulatory changes, cost increases, and changes in discount rates. Those uncertainties may result in future actual expenditure differing from the amounts currently provided. The provision at reporting date represents management's best estimate of the present value of the future rehabilitation cost required. Assumptions used to compute the site rehabilitation costs are reviewed and updated annually.

Provision for site rehabilitation costs amounted to PhP117.254million for the third quarter of 2025, PhP116.2million as of December 31, 2024, PhP115.850million as of the third quarter of 2024 and PhP93.891million as of the third quarter of 2023.

Impairment of intangible asset

Purchase method of accounting requires extensive use of accounting estimates to allocate the purchase price to the fair market values of the acquiree's identifiable assets and liabilities at the acquisition date.

The Group's business acquisitions have resulted to the recognition of intangible asset which is subject to a periodic impairment test. The Group determines whether the intangible asset is impaired at least on an annual basis. This requires an estimation of the value in use of the cash-generating units to which the intangible asset is allocated. Estimating the value in use requires the Group to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows.

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, management believes that no provision for impairment loss is necessary.

Estimating allowance for impairment losses on non-financial assets

The Group assesses impairment on assets whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Several factors are considered which could trigger that impairment has occurred. Though management believes that the assumptions used in the estimation of fair values reflected in the consolidated financial statements are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have material adverse effect on the results of operations.

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, management believes that no provision for impairment loss is necessary.

Determining retirement benefits

The determination of the Group's obligation and costs for retirement benefits is dependent on the selection of certain assumptions used by actuaries in calculating such amounts. Those assumptions, as described in Note 26, include among others, discount rates and future salary increase rates. In accordance with Revised PAS 19, actual results that differ from the Group's assumptions are accumulated and amortized over future periods and therefore, generally affect the recognized expense and recorded obligations in such future periods. While management believes that its assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in the assumptions may materially affect the Group's retirement liability.

Litigations and assessment

The Group is currently involved in some legal proceedings. While estimates have been developed on possible outcome of these cases, management believes that the ultimate outcome will not have a material effect on the consolidated financial statements. However, a change in underlying estimates could affect the consolidated financial statements in the future.

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, there were no provision for litigation and assessment in the accompanying consolidated financial statements.

Assessing recoverability of deferred tax assets

Deferred tax assets, including those arising from un-utilized tax losses require management to assess the likelihood that the Group will generate taxable income in future periods, in order to utilize recognized deferred tax assets.

The Group reviews the carrying amounts of deferred tax asset at each reporting date and assesses if it is probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

Realizability of input tax

The Group assesses the realizability of input tax based on its ability to utilize the asset. The assessment is made on a continuing basis year on year.

6. RISK MANAGEMENT OBJECTIVES AND POLICIES

Risk Management Framework

The Group's Board of Directors is responsible for the over-all effectiveness of risk management system. Furthermore, an operating committee was created to guide the BOD in developing risk management policies. It is also the committee's purpose to lead the general evaluation and to provide assistance in the continuous improvement of risk management, control and governance processes by ensuring that:

- (i) Financial reports comply with established internal policies and procedures, pertinent accounting and auditing standards, and other regulatory requirements;
- (ii) Risks are properly identified, evaluated and managed, specifically in the areas of managing credit, market, liquidity, operational, legal and other risk;
- (iii) The BOD is properly assisted in the development of policies that would enhance the risk management.

Credit Risk

Generally, the maximum credit risk exposure of financial assets is the carrying amount of the financial asset as shown in the face of the consolidated statements of financial position as at September 30, 2025, September 30, 2024, September 30, 2023 and December 31, 2024 (audited) as presented below:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Cash	101,981,218	169,667,773	41,187,838	103,010,100
Receivables	192,687,651	317,980,399	613,788,526	291,084,482
Advances to related parties	4,940,034,589	5,322,769,105	4,399,439,562	5,075,106,906
Mine rehabilitation fund	71,674,129	68,699,312	64,782,529	69,581,109
	<u>5,306,377,587</u>	<u>5,879,116,589</u>	<u>5,119,198,456</u>	<u>5,538,782,597</u>

As part of the Group's policy, deposits are only maintained with reputable financial institutions and receivables are monitored on an on-going basis to identify accounts for which collection is doubtful.

Credit quality by class of the Group's financial assets as at September 30, 2025, December 31, 2024 (audited), September 30, 2024 and September 30, 2023 are summarized in the following tables:

	Neither Past Due Nor Impaired (High)	Past Due But Not Impaired	Past Due and Individually Impaired	Total
September 30, 2025				
Cash	101,981,218	0	0	101,981,218
Receivables:				
Trade receivables	91,030,983	0	0	91,030,983
Other receivables	101,656,668	0	0	101,656,668
Advances to related parties	4,940,034,589	0	0	4,940,034,589
Mine rehabilitation fund	71,674,129	0	0	71,674,129
	5,306,377,587	0	0	5,306,377,587

	Neither Past Due Nor Impaired (High)	Past Due But Not Impaired	Past Due and Individually Impaired	Total
December 31, 2024				
Cash	103,010,100	0	0	103,010,100
Receivables:				
Trade receivables	189,506,792	0	0	189,506,792
Other receivables	101,577,690	0	0	101,577,690
Advances to related parties	5,075,106,906	0	0	5,075,106,906
Mine rehabilitation fund	69,581,109	0	0	69,581,109
	5,538,782,597	0	0	5,538,782,597

	Neither Past Due Nor Impaired (High)	Past Due But Not Impaired	Past Due and Individually Impaired	Total
Sept. 30, 2024				
Cash	169,667,773	0	0	169,667,773
Receivables:				
Trade receivables	182,750,209	0	0	182,750,209
Other receivables	135,230,190	0	0	135,230,190
Advances to related parties	5,322,769,105	0	0	5,322,769,105
Mine rehabilitation fund	68,699,312	0	0	68,699,312
	5,879,116,589	0	0	5,879,116,589

	Neither Past Due Nor Impaired (High)	Past Due But Not Impaired	Past Due and Individually Impaired	Total
Sept. 30, 2023				
Cash	41,187,838	0	0	41,187,838
Receivables:				
Trade receivables	559,857,850	0	0	559,857,850
Other receivables	53,786,677	144,000	0	53,930,677
Advances to related parties	4,399,439,562	0	0	4,399,439,562
Mine rehabilitation fund	64,782,529	0	0	64,782,529
	5,119,054,456	144,000	0	5,119,198,456

High grade cash and short-term investments are placed, invested, or deposited in banks belonging to top ten (10) banks in the Philippines in terms of resources and profitability.

High grade accounts, other than cash, are accounts considered to be of high value. The counterparties have a very remote likelihood of default and have consistently exhibited good paying habits.

Liquidity Risk

The ability of the Group to finance capital expenditures and meet obligations as they become due is important to the Group's operations. The Group's policy is to maintain liquidity at all times. Any shortfalls are addressed in advance to seek available financing internally or through third parties.

The table below summarizes the maturity profile of the Group's financial liabilities as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, based on undiscounted contractual payments:

September 30, 2025	On Demand	<1 month	>1 month & <3months	>3 months & <1 year	>1 year	Total
Accounts payable & other liabilities:						
Trade	856,378,519	593,182,141	534,713,142	-	-	1,984,273,802
Advances from customers	-	-	-	-	-	-
Others	3,977,897,433	-	-	-	-	3,977,897,433
Dividend payable	4,764,540	-	-	-	-	4,764,540
Advances from related party	1,293,354,129	-	-	-	-	1,293,354,129
	<u>6,132,394,622</u>	<u>593,182,141</u>	<u>534,713,142</u>	<u>-</u>	<u>-</u>	<u>7,260,289,905</u>

December 31, 2024:	On Demand	<1 month	>1month but <3months	>3months but <1year	>1year	Total
Accounts payable and other liabilities						
Trade	1,514,345,504	307,746,656	10,066,225	0	0	1,832,158,385
Others	0	0	2,297,248	0	0	2,297,248
Dividends payable	4,764,540	0	0	0	0	4,764,540
Advances from related party	0	0	0	0	133,602,287	133,602,287
	<u>1,519,110,044</u>	<u>307,746,656</u>	<u>12,363,473</u>	<u>0</u>	<u>133,602,287</u>	<u>1,972,822,460</u>

September 30, 2024	On Demand	<1 month	>1 month & <3months	>3 months & <1 year	>1 year	Total
Accounts payable & other liabilities:						
Trade	695,567,707	231,855,903	-	-	-	927,423,610
Advances from customers	914,274,190	-	-	-	-	914,274,190
Others	1,066,534,385	-	-	-	-	1,066,534,385
Dividend payable	4,764,540	-	-	-	-	4,764,540
Advances from related party	1,294,354,129	-	-	-	-	1,294,354,129
	<u>3,975,494,951</u>	<u>231,855,903</u>	<u>0</u>	<u>-</u>	<u>-</u>	<u>4,207,350,854</u>

September 30, 2023	On Demand	<1 month	>1 month & <3months	>3 months & <1 year	>1 year	Total
Accounts payable & other liabilities:						
Trade	1,719,096,751	-	-	-	-	1,719,096,751
Advances from customers	-	-	-	-	-	0
Others	169,492,688	-	-	-	-	169,492,688
Dividend payable	12,960,000	-	-	-	-	12,960,000
Advances from related party	0	-	-	-	-	0
	<u>1,901,549,439</u>	<u>0</u>	<u>0</u>	<u>-</u>	<u>-</u>	<u>1,901,549,439</u>

Market Risk

Market risk is the risk of loss, immediate or over time, due to adverse fluctuations in the price or market value of instruments, products, and transactions in the Group's overall portfolio (whether on or off-balance sheet). These are influenced by foreign and domestic interest rates, foreign exchange rates and other market prices. The objective of market risk management is to manage and control market risk exposures within acceptable parameter, while optimizing the return.

Interest rate risk

The management of interest rate risk involves maintenance of appropriate blend of financial instruments with consideration on the maturity profile of the security. Exposures to interest rate risk, on a yearly basis, comprise the following:

	Interest rate	1year	Due in 2-5years	beyond 5years
2024				
Cash*	0.10%-0.90%	103,010,100	-	-
Mine rehabilitation fund	6.25%	69,581,109	-	-
		<u>172,591,209</u>	<u>-</u>	<u>-</u>
2023				
Cash*	0.10%-0.90%	243,251,329	-	-
Mine rehabilitation fund	6.25%	66,805,379	-	-
		<u>310,056,708</u>	<u>-</u>	<u>-</u>

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, there are no other significant financial instruments for which the Group is exposed to interest rate risk.

The table below demonstrates the sensitivity to a reasonably possible change in interest rates based on the audited annual Financial Statements, with all other variables held constant, of the Group's profit before tax:

		Increase/decrease in interest rates	Effect on profit before tax
Cash and	2024	+200 bps	P 2,413,240
mine rehabilitation fund	2024	-200 bps	(2,413,240)
	2023	+200 bps	6,723,743
	2023	-200 bps	(6,723,743)

Foreign exchange risk

The risk that Group will face with respect to this is the unstable changes in foreign exchange rates particularly in US dollar. To minimize this risk, the Group maintains a considerable amount of cash so as not to be affected by the fluctuation of Philippine peso vis-à-vis US dollar.

7. CASH

Cash represents cash on hand and deposits with banks which generally earn interest based on prevailing bank interest rates and consist of the following:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Local currency	20,904,285	26,030,463	12,757,808	28,346,935
Foreign currency	81,076,933	143,637,310	28,430,030	74,668,165
	101,981,218	169,667,773	41,187,838	103,015,100

Cash in banks earn interest at prevailing rates.

8. RECEIVABLES

This account consists of the following:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Trade receivables	91,030,983	182,750,209	559,857,850	189,506,792
Other receivables	101,656,668	135,230,190	53,930,676	101,577,690
	192,687,651	317,980,399	613,788,526	291,084,482

Trade receivables are non-interest bearing and are generally collectible within twelve (12) months.

Advances to contractors are advance payments to contractor for services related to the mining activities of the Group.

The aging analysis as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Current	91,030,983	49,804,715	-	65,125,484
Over 30days but less < 60days	55,911,167	43,260,761	127,215,305	66,878,065
Over 60days	45,745,501	224,914,923	486,573,221	159,080,933
	192,687,651	317,980,399	613,788,526	291,084,482

Management believes that the carrying value of receivables is a reasonable approximation of its fair value and that no allowance for impairment loss is necessary.

9. INVENTORIES

Beneficiated nickel ore as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Nickel ore laterite	1,218,282,297	1,649,608,638	1,364,256,174	1,712,562,604
	<u>1,218,282,297</u>	<u>1,649,608,638</u>	<u>1,364,256,174</u>	<u>1,712,562,604</u>

Inventories are carried at cost.

10. PROPERTY, PLANT AND EQUIPMENT - NET

As at September 30, 2025, this account consists of:

	Pier, road networks and other surface structures	Mine rehabilitation asset	Machineries and equipment	Beneficiation plant	Transportation equipment	Furniture, fixtures and equipment	Total
Cost							
At January 1, 2025	1,963,830,219	106,307,065	1,088,704,771	195,920,190	153,388,082	10,463,206	3,518,613,533
Additions	1,369,992	-	7,088,152	-	-	56,114	8,514,257
At September 30, 2025	<u>1,965,200,211</u>	<u>106,307,065</u>	<u>1,095,792,923</u>	<u>195,920,190</u>	<u>153,388,082</u>	<u>10,519,320</u>	<u>3,527,127,790</u>
Accumulated depreciation and depletion							
At January 1, 2025	605,559,308	18,235,817	919,802,875	192,112,995	81,707,052	8,434,540	1,825,852,587
Additions	3,225,386	194,021	24,699,545	3,807,195	7,920,888	746,002	40,593,037
At June 30, 2025	<u>608,784,694</u>	<u>18,429,838</u>	<u>944,502,420</u>	<u>195,920,190</u>	<u>89,627,940</u>	<u>9,180,542</u>	<u>1,866,445,624</u>
Net carrying value at Sept. 30, 2025	<u>1,356,415,517</u>	<u>87,877,227</u>	<u>151,290,503</u>	<u>-</u>	<u>63,760,142</u>	<u>1,338,778</u>	<u>1,660,682,166</u>

As at December 31, 2024, this account consists of:

	Pier, road networks and other surface structures	Mine rehabilitation asset	Machineries and equipment	Beneficiation plant	Transportation equipment	Furniture, fixtures and equipment	Total
Cost							
At January 1, 2024	P 1,953,858,399	P 106,307,065	P 1,078,672,846	P 195,920,190	P 140,871,462	P 9,988,334	P 3,485,618,296
Additions	9,971,820	-	10,031,925	-	12,466,620	474,872	32,945,237
At December 31, 2024	<u>1,963,830,219</u>	<u>106,307,065</u>	<u>1,088,704,771</u>	<u>195,920,190</u>	<u>153,338,082</u>	<u>10,463,206</u>	<u>3,518,563,533</u>
Accumulated depreciation and depletion							
At January 1, 2024	588,251,087	17,116,719	873,255,681	172,520,976	72,746,554	7,209,877	1,731,100,894
Additions	17,308,221	1,119,098	46,547,194	19,592,019	8,960,498	1,226,663	94,753,693
At December 31, 2024	<u>605,559,308</u>	<u>18,235,817</u>	<u>919,802,875</u>	<u>192,112,995</u>	<u>81,707,052</u>	<u>8,436,540</u>	<u>1,825,854,587</u>
Net Carrying Value							
At December 31, 2024	<u>P 1,358,270,911</u>	<u>P 88,071,248</u>	<u>P 168,901,896</u>	<u>P 3,807,195</u>	<u>P 71,631,030</u>	<u>P 2,026,666</u>	<u>P 1,692,708,946</u>

As at September 30, 2024, this account consists of:

	Pier, road networks and other surface structures	Mine rehabilitation asset	Machineries and equipment	Beneficiation plant	Transportation equipment	Furniture, fixtures and equipment	Total
Cost							
At January 1, 2024	1,953,858,399	106,307,065	1,078,672,846	195,920,190	140,871,462	9,988,334	3,485,618,296
Additions	-	-	607,864	-	-	474,872	1,082,736
At September 30, 2024	<u>1,953,858,399</u>	<u>106,307,065</u>	<u>1,079,280,710</u>	<u>195,920,190</u>	<u>140,871,462</u>	<u>10,463,206</u>	<u>3,486,701,032</u>
Accumulated depreciation and depletion							
At January 1, 2024	588,251,087	17,116,719	873,255,681	172,520,976	72,746,554	7,209,877	1,731,100,894
Additions	30,218,186	1,967,754	35,499,629	14,694,013	6,723,550	947,391	90,050,523
At September 30, 2024	<u>618,469,273</u>	<u>19,084,473</u>	<u>908,755,310</u>	<u>187,214,989</u>	<u>79,470,104</u>	<u>8,157,268</u>	<u>1,821,151,417</u>
Net carrying value at Sept. 30, 2024	<u>1,335,389,126</u>	<u>87,222,592</u>	<u>170,525,400</u>	<u>8,705,201</u>	<u>61,401,358</u>	<u>2,305,938</u>	<u>1,665,549,614</u>

At September 30, 2023:

	Pier, road networks and other surface structures	Mine rehabilitation asset	Machineries and equipment	Beneficiation plant	Transportation equipment	Furniture, fixtures and equipment	Total
Cost							
At January 1, 2023	1,951,408,413	86,376,541	1,011,434,682	195,920,190	140,871,462	8,051,996	3,394,063,284
Additions	226,724	-	148,534,167	-	-	1,610,239	150,371,130
At September 30, 2023	1,951,635,137	86,376,541	1,159,968,849	195,920,190	140,871,462	9,662,235	3,544,434,414
Accumulated depreciation and depletion							
At January 1, 2023	542,955,697	14,808,230	824,483,361	152,928,957	62,759,498	6,137,011	1,604,072,754
Additions	30,668,245	2,260,748	39,502,774	14,694,014	7,712,951	764,932	95,603,664
At September 30, 2023	573,623,942	17,068,978	863,986,135	167,622,971	70,472,449	6,901,943	1,699,676,418
Net carrying value at Sept. 30, 2023	1,378,011,195	69,307,563	295,982,714	28,297,219	70,399,013	2,760,292	1,844,757,997

11. EXPLORED MINERAL RESOURCES

The Explored Mineral Resources represents the excess of shares issued by the Parent Company to acquire 94% ownership in Citinickel, which meets the definition of an intangible asset that is controlled and provide economic benefits, separable and arises from its mineral property rights and claims for which fair value was measured reasonably.

The intangible asset arising from the business combination was arrived at using the Discounted Cash Flow (DCF) method covering an aggregate area of 2,176 hectares of mining claims in Narra and Española, Palawan. DCF analysis works on the principles of anticipation of investor benefits expressed in cash flow generation potential of an entity that owns the mineral property. The intangible asset was valued at an investment hurdle rate of 25% for a 17-year production period at market price of nickel prevailing at the time of valuation.

Movement of this account is shown below:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Explored mineral resources	746,401,594	746,401,594	746,401,594	746,401,594
Accumulated amortization:				
At January 1	265,639,862	259,530,942	243,303,128	259,530,942
Amortization	951,115	9,612,119	10,964,127	6,108,920
At June 30/ December 31	266,590,977	269,143,061	254,267,255	265,639,862
	479,810,617	477,258,533	492,134,339	480,761,732

12. INVESTMENT IN ASSOCIATE

On June 22, 2018, the Group subscribed to 3,000,000 shares of Oriental Energy & Power Generation Corp. (Oriental Energy) at P100 par value per share or a total amount of P300 million. The subscription represents 30% equity interest in Oriental Energy and was fully paid through a debt-to-equity conversion amounting to P300 million. Oriental Energy is a domestic corporation engaged in developing, constructing, erecting, assembling, installing, commissioning, rehabilitating, maintaining, managing and operating diesel, hydro, thermal, coal and other power generating plants and electricity distribution and related facilities.

The Group has significant influence over Oriental Energy because of its representation in the BOD of Oriental Energy and the existence of interlocking key management personnel. Accordingly, Oriental

Energy is determined to be an associate of the Group. Investment in associate is accounted using equity method.

The details of this account as at September 30, 2025, December 31, 2024 (audited), September 30, 2024 and September 30, 2023 are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Acquisition cost	300,000,000	300,000,000	300,000,000	300,000,000
Accumulated equity in net losses:				
Balances, January 1	69,184,183	-26,419,777	-47,745,061	-26,419,777
Equity in net losses	0	0	0	95,603,960
Balances	69,184,183	-26,419,777	-47,745,061	69,184,183
Net carrying value	369,184,183	273,580,223	252,254,939	369,184,183

The key financial information of Oriental Energy as at and for the years ended December 31, 2024, 2023 and 2022 (audited) are as follows:

	2024	2023	2022
Total current assets	111,861,218	99,207,197	106,218,080
Total non-current assets	3,197,195,998	3,209,266,901	3,455,375,707
Total current liabilities	-188,810,786	-273,686,798	-269,183,956
Total non-current liabilities	-2,018,056,442	-2,250,277,177	-2,578,983,989
Net assets	1,102,189,988	784,510,123	713,425,842
Revenue	557,373,616	300,380,661	12,159,757
Expenses	-238,723,289	-229,352,343	-134,773,204
Income tax benefit	29,538	55,963	11,525,595
Net loss	318,679,865	71,084,281	-111,087,852

The reconciliation of net assets of the associate to the carrying amounts of investments in associates recognized in the consolidated statements of financial position as at December 31, 2024, 2023 and 2022 are as follows:

	2024	2023	2022
Net assets of associate	1,102,189,988	784,510,123	713,425,842
Proportionate ownership inter	30%	30%	30%
	330,656,996	235,353,037	214,027,753
Pre-acquisition adjustment	38,227,187	38,227,187	38,227,187
	368,884,183	273,580,224	252,254,940

13. OTHER NON-CURRENT ASSETS - NET

This account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Deferred mine exploration cos	240,903,519	240,903,519	240,903,519	240,903,519
Input tax	159,090,131	119,624,492	95,545,620	142,498,481
Mine rehabilitation fund	71,674,129	68,699,312	64,782,529	69,581,109
Software - net	736,363	982,964	485,687	936,214
Others	8,388,549	7,043,916	7,926,235	6,927,272
	480,792,691	437,254,203	409,643,591	460,846,595

- Deferred mine exploration cost pertain to capitalized cost of developing mine site prior to mining operation.
- MRF is the amount deposited in local bank accounts established by the Group in compliance with the requirements of the Philippine Mining Act of 1995 as amended by Department of Environment and Natural Resources Administrative Order No. 2005-07. The MRF is earmarked for physical and social rehabilitation of areas and communities affected by mining activities and for research on the social, technical and preventive aspects of rehabilitation. Any disbursement from the MRF should be authorized by the MRF Committee, the external overseeing body charged with the duties of managing, operating, monitoring and safekeeping of the MRF. The MRF earns interest at the respective bank deposit rates.

Movements of MRF are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Balances, January 1	69,581,109	66,805,379	64,118,063	66,805,379
Interest earned - net	2,093,020	1,893,933	664,466	3,943,990
Trustee fee	-	-	-	-1,168,260
	<u>71,674,129</u>	<u>68,699,312</u>	<u>64,782,529</u>	<u>69,581,109</u>

- Input tax represents the 12% Value Added Tax (VAT) paid on purchases of goods and services.
- The movement of Software is shown below:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Cost:				
At January 1	5,986,066	5,986,066	4,862,852	5,986,066
Additions	-	-	-	-
	<u>5,986,066</u>	<u>5,986,066</u>	<u>4,862,852</u>	<u>5,986,066</u>
Accumulated amortization:				
At January 1	5,049,852	4,509,623	3,979,783	4,509,623
Amortization	199,851	493,479	397,382	540,229
	<u>5,249,703</u>	<u>5,003,102</u>	<u>4,377,165</u>	<u>5,049,852</u>
	<u>736,363</u>	<u>982,964</u>	<u>485,687</u>	<u>936,214</u>

- Others include cash bonds posted with judicial bodies in compliance with legal cases wherein the Group or its officers are defendants.

14. ACCOUNTS PAYABLE AND OTHER LIABILITIES

This account consists of:

	June 30, 2025	June 30, 2024	June 30, 2023	December 31, 2024 (audited)
Trade payable	1,953,244,342	1,850,277,295	1,730,733,061	1,832,158,385
Taxes payable	2,645,285	1,934,678	19,453,273	986,093
Advances from customers	101,874,534	0	0	761,181,389
Other liabilities	20,023,145	983,278,396	131,878,873	2,297,248
	<u>2,077,787,306</u>	<u>2,835,490,369</u>	<u>1,882,065,207</u>	<u>2,596,623,115</u>

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, trade payables pertain to liabilities to related parties and third parties for the purchase of supplies, equipment and services. Trade payables are usually settled on a 30-60 days term.

Advances from customers will be applied against future credit sales.

Taxes payable includes excise taxes on sale of nickel ore and other taxes due to government.

Other liabilities substantially consist of accrued professional fees.

15. DIVIDENDS PAYABLE

On December 28, 2015, the Board of Directors of Citinickel declared a special cash dividend amounting to P872,100,000 or P5.71 per share to all its stockholders of record as at December 31, 2015 payable on or before January 31, 2016. As at September 30, 2025, December 31, 2024 and September 30, 2024, dividend amounting to P4,764,540,000 remains unpaid.

16. PROVISIONS

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, this account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Provision for site rehabilitation	117,253,837	115,850,731	93,891,129	116,201,507
Provision for royalties	152,822,083	155,437,963	150,838,870	154,981,202
Provision for taxes	6,044,564	8,953,194	-	9,298,169
	<u>276,120,484</u>	<u>280,241,888</u>	<u>244,729,999</u>	<u>280,480,878</u>

Provision for royalties

Under the MPSA, Citinickel is required to allocate royalty payment to the Indigenous Cultural Community (ICC) of not less than 1% of gross output of minerals sold.

The movement of this account as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 is presented below.

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Balance, January 1	154,981,202	153,667,924	147,170,887	153,667,924
Additional provision	2,159,119	1,770,039	3,667,983	3,575,429
Payments made	-4,318,238	-	-	-2,262,151
	152,822,083	155,437,963	150,838,870	154,981,202

Provision for site rehabilitation cost

Provision for site rehabilitation cost pertains to the estimated decommissioning costs to be incurred in the future on the mined-out areas of the Group.

The breakdown of this account as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 is presented below.

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Balance, January 1	116,201,507	114,798,402	93,540,353	114,798,402
Additional provision	-	-	-	-
Accretion of interest	1,052,330	1,052,329	350,776	1,403,105
	117,253,837	115,850,731	93,891,129	116,201,507

The Group makes a provision for the future cost of rehabilitating mined-out areas and related production facilities on a discounted basis. The rehabilitation provision represents the present value of estimated rehabilitation cost based on the Group's internal estimates. Assumptions, based on the current economic environment, have been made which management believes are a reasonable basis upon which to estimate the future liability. These estimates are reviewed regularly to take into account any material changes to the assumptions. However, actual rehabilitation costs will ultimately depend upon future market prices for the necessary decommissioning works required which will reflect market conditions at the relevant time. Furthermore, the timing of rehabilitation is likely to depend on when the mine ceases to produce at economically viable rates. This, in turn, will depend upon future ore prices, which are inherently uncertain.

Provision for taxes

Provision for taxes pertains to the estimated tax assessments, including interests, surcharges and compromise penalties.

The movement of this account as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 is presented below:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Balance, January 1	9,298,169	8,987,158	37,381,734	8,987,158
Additions	920,741	179,709	-	26,966,754
Reclassifications	-	-	-	8,553,363
Settlements	-4,174,346	-213,673	-37,381,734	-35,209,106
	6,044,564	8,953,194	-	9,298,169

17. EQUITY

Share capital transactions from the date of incorporation up to September 30, 2025 are as follows:

Date	Transactions	Authorized (P1 par value per share)	Issued and outstanding	Subscribed	Share Premium
April 16, 2007	Upon incorporation and subscription	P1,500,000,000	P -	P 400,000,000	P -
May 14, 2007	Issuance	-	5	-	-
June 8, 2007	Payment of subscription	-	400,000,000	(400,000,000)	-
July 4, 2007	Issuance	-	752,000,000	-	-
December 10, 2007	Initial public offering	-	300,000,000	-	429,309,301
May 7, 2014	Increase in authorized capital	2,000,000,000	-	-	-
May 16, 2014	Conversion of deposit on stock subscription	-	500,000,000	-	13,921,420
October 13, 2014	Issuance	-	926,500,000	-	1,795,175
		P3,500,000,000	P2,878,500,005	P -	P 445,025,896

Details of share capital transactions are as follows:

- Upon incorporation, the stockholders subscribed to 400 million shares out of the 1,500 million authorized common shares. At the time of subscription, P100 million was paid in the form of cash. Full payment thereon was received on June 8, 2007.
- On May 14, 2007, additional 5 shares were issued to the Parent Company's elected Board of Directors.
- On July 4, 2007, a group of majority stockholders of Citinickel assigned in favor of the Parent Company their 94% ownership in Citinickel corresponding to 2,540,000 common shares at P10 par value per share in exchange for 65.27% of common shares of the Parent Company equivalent to 752,000,000 common shares at P1 par value per share. The exchange transaction was confirmed by the SEC as an exempt transaction under the Securities and Regulation Code. The tax-free exchange was approved by the Bureau of Internal Revenue in October 2007.
- On December 10, 2007, the SEC approved the registration of the Parent Company's 1,452,000,005 common shares. The initial public offering (IPO) was conducted on December 10, 2007 at an offer price of P2.68 per share. A total of 300,000,000 shares have been subscribed with the excess of offer price over the par value credited to share premium, net of IPO cost and expenses.
- On May 7, 2014, the Board of Directors and stockholders of the Parent Company approved the increase in authorized capital from P1.5 billion divided into 1.5 billion shares to P3.5 billion divided into 3.5 billion shares, both with a par value of P1 per share. The required subscription of P500 million was satisfied by a debt-to-equity conversion amounting to P513,921,420. The excess of debt-to-equity conversion of P13,921,420 was credited to share premium.
- On various dates in 2014, 926.5 million shares were subscribed and paid amounting to P928,295,175. The payment in excess of the total par value or P1,795,175 was credited to share premium.

Appropriation for company expansion of Citinickel

On April 13, 2015, the Board of Directors of Citinickel approved the appropriation of P500,000,000 for the exploration of a new mine pit within the contract area under the MPSA. On December 28, 2015, the BOD approved the appropriation of P1,200,000,000 for the purpose of acquiring additional mining area. Citinickel expects the acquisition to be completed in 1 to 2 years. As a consequence of the suspension of mining operation discussed in Note 1, the BOD on December 21, 2017, approved the extension of the appropriations until the years 2019-2021.

On December 18, 2021, the BOD approved the extension of the above appropriations until the years 2025-2027 due to economic uncertainties, regulatory limitations and physical restraints brought about by the Covid-19 pandemic.

Non-controlling interest

Non-controlling interest pertains to equity interest held by the minority shareholders of Citinickel. As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023, non-controlling interest represents 1.41% equity share in Citinickel.

18. REVENUE FROM CONTRACTS WITH CUSTOMERS

The Group sells mine products to two (2) customers based in China and Japan. Mine products are first loaded to barges from the port, which are then transferred to the buyer's vessel. This is the point in time when the Group completely satisfies the performance obligation and the transfer of control over the mine products. This is also the point in time when the Group recognizes revenue. All billings are made in US Dollars.

Disaggregated revenue information

The table below shows the disaggregation of revenues of the Group by location of customers for the sale of beneficiated nickel ore for the years ended September 30, 2025, December 31, 2024, September 30, 2024, and September 30, 2023:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
China	841,594,681	92,053,749	305,914,155	277,592,670
Japan	0	79,950,186	60,884,137	79,950,186
	841,594,681	172,003,935	366,798,291	357,542,856

Timing of recognition

All revenue from sale beneficiated nickel ore are recognized at a point in time when control over the mine products is transferred to the customer, which occurs at a point in time when the ore is physically transferred onto a vessel.

19. OTHER INCOME

Other income is broken down as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Interest income on:				
Cash	90,495	110,581	61,624	128,400
Mine rehabilitation fund	3,614,613	2,705,618	1,107,444	3,986,705
Foreign exchange gain/(loss)	2,997,744	2,319,381	-35,404,298	696,422
Gain on sale of scrap &/or used oil	-	28,830	-	-
	6,702,852	5,164,410	-34,235,230	4,811,527

Foreign exchange gain/(loss) arises from foreign currency denominated cash and trade receivables.

20. COST OF SALES

This account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Contract fees	23,780,905	155,456,054	226,338,357	276,561,950
Depreciation, depletion & amortization	31,796,241	91,942,534	86,424,228	90,609,897
Gas, oil & lubricants	81,633,309	128,784,629	208,551,272	141,356,278
Auto parts & supplies	20,677,551	28,917,900	34,981,126	40,151,609
Other charges	3,670,056	2,337,184	15,239,739	6,147,581
	<u>161,558,062</u>	<u>407,438,301</u>	<u>571,534,722</u>	<u>554,827,315</u>
Changes in stockpile inventory	494,280,307	-215,166,344	-255,555,504	-278,120,310
	<u>655,838,369</u>	<u>192,271,957</u>	<u>315,979,218</u>	<u>276,707,005</u>

Contract fees pertain to amounts paid and accrued for services rendered by contractors related to the mining activities of the Group. These services include, but are not limited to hauling, stevedoring, maintenance and security. Portion of which is provided by a certain related party. (see Note 29)

21. SHIPPING AND LOADING COSTS

This account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Contract fees	67,126,743	23,109,602	144,432,550	50,949,446
Gas, oil and lubricants	-	-	-	8,066,034
Other services	-	-	-	3,324,255
	<u>67,126,743</u>	<u>23,109,602</u>	<u>144,432,550</u>	<u>62,339,735</u>

22. EXCISE AND OTHER TAXES

The breakdown of this account is as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Excise taxes	33,663,787	6,880,157	14,671,932	14,301,714
Royalties	8,415,947	1,770,039	3,667,983	3,575,429
	<u>42,079,734</u>	<u>8,650,196</u>	<u>18,339,915</u>	<u>17,877,143</u>

Excise taxes represent 4% tax on gross revenues as provided in the National Internal Revenue Code as the Government's share in the Group's output.

Royalties represent the share of the indigenous people on the gross revenue of the Group as required by the MPSA.

23. FINANCE COST

This account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Accretion of interest	39,316	35,084	1,052,329	1,403,105
Bank charges	1,052,329	1,052,329	47,790	-
Interest expense - mortgage	-	25,306	-	73,280
	1,091,645	1,112,719	1,100,119	1,476,385

24. ADMINISTRATIVE EXPENSES

This account consists of:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Advertisements	74,410	123,050	57,065	-
Communication, light and water	1,555,695	2,201,270	2,369,741	3,074,169
Compromise penalties	-	-	15,777,638	-
Depreciation and amortization	8,944,649	8,213,585	8,875,262	10,792,945
Donations	100,000	62,134	59,390	-
Dues and subscriptions	121,486	84,888	3,868,210	85,624
Employees' welfare and benefits	1,015,227	1,242,764	5,647,021	9,525,616
Environmental protection and social development cost	16,952,615	21,529,539	25,861,166	30,797,332
Gas and oil	928,631	331,115	4,909,719	-
Insurance	837,733	288,613	406,952	523,089
Miscellaneous	2,490,599	1,119,444	1,070,889	4,514,743
Office supplies	112,183	143,279	1,225,180	-
Outside services	-	-	-	31,454,978
Personnel costs	14,667,317	36,162,223	34,046,246	12,172,905
Professional fees	436,124	1,396,624	2,478,014	4,079,545
Provisions for taxes	-	-	-	26,966,754
Provision for retirement benefit expense	-	-	-	3,954,040
Repairs & maintenance	10,107,119	8,421,883	12,181,532	7,503,488
Representation and entertainment	143,449,733	5,899,124	32,801,883	4,835,424
Security services	10,965,005	10,768,520	9,426,039	13,504,307
Shipping, trucking and freight	491,201	47,833	2,379,675	-
Taxes and licenses	10,934,661	16,802,694	52,959,745	35,120,520
Training and Development	190,272	1,061,727	1,908,681	-
Transportation and travel	6,520,403	3,952,634	1,907,572	4,787,776
	230,895,061	119,852,942	220,217,620	203,693,255

Included in environmental protection and social development are disbursements for rehabilitation and greening program, development of the host and neighboring communities, scholarships, and relief operations.

Miscellaneous expenses significantly consist of advertising expenses, transportation and travel, meetings and conferences, dues and subscriptions and trustee fees.

25. RETIREMENT BENEFIT OBLIGATION

The Group does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is a defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid in lump sum upon retirement.

The amount of retirement liability recognized in the consolidated statements of financial position is as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024 (audited)
Present value of obligation	15,591,962	16,123,101	12,684,796	15,591,962
Fair value of plan asset	-	-	-	-
	<u>15,591,962</u>	<u>16,123,101</u>	<u>12,684,796</u>	<u>15,591,962</u>

The movements in present value of the obligation are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024 (audited)
Present value of obligation, beg.	15,591,962	16,123,101	12,684,796	16,123,101
Interest cost	-	-	-	2,970,531
Current service cost	-	-	-	983,509
Actuarial (gain) loss	-	-	-	4,485,179
Benefits paid during the period	-	-	-	-
Present value of obligation, end	<u>15,591,962</u>	<u>16,123,101</u>	<u>12,684,796</u>	<u>15,591,962</u>

The amounts of retirement benefits recognized in the consolidated statements of comprehensive income are broken down as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024 (audited)
Current service cost	-	-	-	2,970,531
Interest cost	-	-	-	983,509
	<u>-</u>	<u>-</u>	<u>-</u>	<u>3,954,040</u>

The movements in remeasurement gain (loss) on retirement benefit obligation are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024 (audited)
Re-measurement loss (gain), beg.	5,186,841	1,822,957	1,976,155	2,430,609
Actuarial (gain) loss	-	-	-	4,485,179
Re-measurement loss (gain), end	5,186,841	1,822,957	1,976,155	6,915,788
Deferred tax effect	-	-	-	-1,728,947
	<u>5,186,841</u>	<u>1,822,957</u>	<u>1,976,155</u>	<u>5,186,841</u>

The sensitivity analyses based on reasonably possible changes of each significant assumption on the retirement benefit obligation on annual basis are as follows:

	Dec. 31, 2024	Dec. 31, 2023
Decrease in RBO due to 100 bps increase in discount rate	-1,284,052	-1,927,910
Increase in RBO due to 100 bps increase in discount rate	2,207,906	2,355,970
Increase in RBO due to 100 bps increase in salary increase rate	2,207,746	2,358,438
Decrease in RBO due to 100 bps increase in salary increase rate	-1,857,192	-1,963,091

The principal actuarial assumptions used to determine retirement benefits are illustrated in the table below:

	Dec. 31, 2024	Dec. 31, 2023
Discount rate	6.08%	6.10%
Salary increase rate	5.00%	5.00%

Shown below is the undiscounted maturity analysis of the benefit payments as at December 31, 2024 and December 31, 2023:

	Dec. 31, 2024	Dec. 31, 2023
Less than 1year	1,201,870	1,560,843
More than 1 year to 5 years	4,735,538	2,919,241
More than 5 years	9,956,315	8,377,144
	15,893,723	12,857,228

26. REGISTRATION WITH THE BOARD OF INVESTMENTS (BOI)

On March 9, 2011, Citinickel was registered with the BOI under Executive Order No. 226 as New Producer of Nickel Ore on a Non-Pioneer Status.

As a BOI-registered entity, Citinickel is entitled to the following incentives, among others:

- Income Tax Holiday (ITH) for four (4) years from March 9, 2011 to March 8, 2015;
- Tax credit on taxes and duties paid on raw materials and supplies used in producing its export product for a period of ten (10) years from start of commercial operations;
- Importation of consigned equipment for a period of ten (10) years from date of registration;
- Exemptions from wharfages, dues, any export tax, duties, imposts and fees for a ten (10) year period from date of registration; and
- Simplification of customs procedures for the importation of equipment, spare parts, raw materials and supplies.

Citinickel may avail of a bonus year in any of the following cases:

- The indigenous raw materials used in the manufacture of the registered product is at least fifty percent (50%) of the total cost of raw materials for the preceding years prior to the extension unless the BOI prescribes a higher percentage; or
- The ratio of total imported and domestic capital equipment to the number of workers for the project does not exceed US\$25,000 to one (1) direct labor; or
- The net foreign exchange savings or earnings amount to at least US\$500,000 annually during the first three (3) years of operation.

27. INCOME TAXES

- The Group's income tax expense is broken down as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec. 31, 2024 (audited)
Current	-	-	-	1,785,642
Deferred	-	-	-	-44,455,872
	-	-	-	-42,670,230

- The reconciliation of tax on pretax income computed at the applicable statutory rates to tax expense reported in the consolidated statements of comprehensive income are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec 31, 2024 (audited)
Statutory income tax	-	-	-	-30,529,448
Adjustment due to change in tax rate	-	-	-	-
Income tax effects of:				
Income subjected to final tax	-	-	-	-24,929,767
Non-deductible expenses	-	-	-	12,411,513
Unrecognized temporary differences	-	-	-	377,472
Tax expense reported in the consolidated statements of	-	-	-	-42,670,230

- Components of the Group's deferred tax assets and deferred tax liability as are follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec 31, 2024 (audited)
Deferred tax assets on:				
Provision for royalties	38,745,301	38,416,981	36,792,722	38,745,301
Provision for site rehabilitation	29,050,377	28,699,601	23,385,088	29,050,377
Retirement benefit obligation	3,897,990	4,030,775	3,171,199	3,897,990
Excess MCIT over RCIT	8,299,665	6,514,023	-	8,299,665
Unrealized FOREX loss	4,495,654	3,223,751	-	4,495,654
Net Operating Loss Carry-Over	39,730,721	-	-	39,730,721
	124,219,708	80,885,131	63,349,009	124,219,708
Deferred tax liability on unrealized FOREX gain	-	-	-	-
	124,219,708	80,885,131	63,349,009	124,219,708

- The changes in net deferred tax assets are as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec 31, 2024 (audited)
Balances, January 1	124,219,708	80,885,131	63,349,009	80,885,131
Provision for deferred income tax taken to:				
Profit for the period	-	-	-	44,455,872
Other comprehensive income	-	-	-	-1,121,295
Balances, September 30/December 31	124,219,708	80,885,131	63,349,009	124,219,708

- The Group did not provide any deferred tax assets on net operating loss carry over (NOLCO) amounting to P2,491,211, P2,113,739 in 2024 and 2023, respectively, and on unrealized foreign exchange loss amounting to P28,382,544 in 2023. The Group's management believes that it may not be probable that future taxable income will be available in the near future against which the deferred tax asset can be utilized.

- The carry-forward benefits of the NOLCO and the excess of the MCIT over the regular corporate income tax, which can be claimed by the Group as credits against the regular corporate income tax due, are as follows:

NOLCO									
Year						Remaining			
Incurred		Amount		Applied		Expired		Balance	Expiry
2020	P	1,770,300	P	-	P	-	P	1,770,300	2025
2021		2,218,760		-		-		2,218,760	2026
2022		2,235,487		-		-		2,235,487	2025
2023		2,230,409		-		-		2,230,409	2026
2024		160,432,770		-		-		160,432,770	2027
	P	168,887,726	P	-	P	-	P	168,887,726	

MCIT									
Year						Remaining			
Incurred		Amount		Applied		Expired		Balance	Expiry
2023	P	6,514,023	P	-	P	-	P	6,514,023	2026
2024		1,785,642						1,785,642	2027
	P	8,299,665	P	-	P	-	P	8,299,665	

NOLCO

On September 30, 2020, the BIR issued Revenue Regulations No. 25-2020 implementing Section 4(bbbb) of "Bayanihan to Recover As One Act" which provide that the NOLCO incurred for taxable years 2020 and 2021 can be carried over and claimed as a deduction from gross income for the next five (5) consecutive taxable years immediately following the year of such loss.

28. RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control or common significant influence which include affiliates.

The following table provides the total amount of transactions that have been entered into with related parties and the outstanding balances (audited) as at December 31, 2024, 2023 and 2022.

Category	Year	Amount of transactions	Outstanding balances				Terms	Conditions	
			Advances to related parties	Advances from related party	Trade payables				
Affiliate									
Citimax Group, Inc.									
Cash advances	2024	P 1,750,267	P -	P 133,602,287	P -	No fixed	Unsecured;		
	2023	24,459,537	-	131,852,020	-	repayment term;	no guarantee		
	2022	(58,176,460)	-	107,392,483	-	noninterest-bearing			
Contract fees	2024	85,508,492	-	-	1,495,754,774	Payable upon	Unsecured;		
	2023	376,712,212	-	-	1,410,246,282	billing; noninterest-	no guarantee		
	2022	671,831,329	-	-	1,033,534,070	bearing			
Monte De Tesoro Corporation									
Cash advances	2024	882,000,000	3,266,986,380	-	-	No fixed	Unsecured;		
	2023	884,762,558	2,384,986,380	-	-	repayment term;	no guarantee		
	2022	1,500,223,822	1,500,223,822	-	-	noninterest-bearing			
Associate									
Oriental Energy & Power Generation Corp.									
Cash advances	2024	(124,735,250)	1,719,875,538	-	-	No fixed	Unsecured;		
	2023	(151,000,000)	1,844,610,788	-	-	repayment term;	no guarantee		
	2022	102,000,000	1,995,610,788	-	-	noninterest-bearing			
Stockholder									
Cash advances	2024	4,031,798	88,244,988	-	-	No fixed	Unsecured;		
	2023	31,305,787	84,213,190	-	-	repayment term;	no guarantee		
	2022	-	52,907,403	-	-	noninterest-bearing			
2024			P 5,075,106,906	P 133,602,287	P 1,495,754,774				
2023			P 4,313,810,358	P 131,852,020	P 1,410,246,282				
2022			P 3,548,742,013	P 107,392,483	P 1,033,534,070				

Transactions with related parties are made at prevailing market prices. Outstanding balances pertain to the contract fees, extension and receipt of advances to and from related parties. Except for trade payables which are payable upon billing, outstanding balances have no fixed repayment term, non-interest bearing, unsecured and settlement occurs in cash. There have been no guarantees received or provided for any related party receivables or payables. This assessment is undertaken at each end of the financial reporting period through the examination of the financial position of the related party and the market in which the related party operates.

Details of transactions with related parties are as follows:

(i) *Citimax Group, Inc. (Citimax)*

Citimax is an affiliate subject to common control of certain stockholders. Citimax provided cash advances to the Group and vice versa to cover working capital requirement. Cumulative advances from Citimax as at December 31, 2024, and 2023 amounted to P133.6 million and P131.9 million, respectively.

Citimax provides services related to the Group's mining activities. These services include, but not limited to hauling, construction of mine structures, stevedoring, equipment maintenance and equipment rental. Trade payable amounted to P1.5 billion and P1.4 billion as at December 31, 2024 and 2023, respectively.

(ii) *Monte De Tesoro Corporation (Monte)*

The Group provided cash advances to Monte to cover working capital requirements of the latter. Advances to Monte as at December 31, 2024 and 2023 amounted to P3.3 billion and P2.4 billion, respectively.

(iii) *Oriental Energy & Power Generation Corp. (Oriental Energy)*

The Group provided cash advances to Oriental Energy to cover its working capital requirement. Cumulative advances to Oriental Energy as at December 31, 2024 and 2023 amounted to P1.7 billion and P1.8 billion, respectively.

In 2018, the Group subscribed to 3,000,000 shares of Oriental Energy at P100 par value per share or a total amount of P300 million. The subscription represents 30% equity interest in Oriental Energy and was fully paid through a debt-to-equity conversion.

The Group has significant influence over Oriental Energy because of its representation in the BOD of Oriental Energy and the existence of interlocking key management personnel. Accordingly, Oriental Energy is determined to be an associate of the Group.

(iv) *Stockholder*

The Group provided cash advances to Ms. Caroline L. Tanchay. The advances are not subject to interest, no fixed repayment period and has no collateral. Cumulative advances to the stockholder as at December 31, 2024, and 2023 amounted to P88.2 million and P84.2 million, respectively.

(v) *Inter-company advances between the Parent Company and Citinickel amounted to P1.278,193,982 and P1,279,193,982, as at December 31, 2024, and 2023, respectively. These advances were eliminated in full during consolidation.*

(vi) *Key Management Personnel Compensation*

The compensation of key management personnel by benefit type follows:

		2024		2023		2022
Short-term employee benefits	P	4,290,000	P	4,245,765	P	4,245,765
Retirement benefits		365,496		235,907		274,217
	P	4,655,496	P	4,481,672	P	4,519,982

29. EARNINGS PER SHARE

Earnings per share is computed by dividing the net income by the weighted average number of common shares as follows:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	December 31, 2024 (audited)
Net income (loss) attributable to equity holders of the Parent Company	-146,656,217	-165,606,156	-362,858,583	-77,085,956
Divided by the weighted average common shares outstanding during the period	2,878,500,005	2,878,500,005	2,878,500,005	2,878,500,005
Earnings (loss) per share (a/b)	-0.051	-0.058	-0.126	-0.027

As at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 the Parent Company has no potential shares with dilutive effect.

30. IMPAIRMENT TESTING

The Group performs an impairment testing of mining rights and mine-related assets annually or when facts and circumstances suggest that the carrying amount of the asset may exceed the recoverable amounts. If any such indication exists and where the carrying amount of an asset exceeds its recoverable amount, the asset or cash generating unit (CGU) is written down to its recoverable amount.

The estimated recoverable amount is the higher of the asset's or CGU's fair value less costs to sell and value in use, and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the asset is tested as part of a large CGU.

The recoverable amount of the CGU has been determined based on a discounted cash flows (DCF) calculation using cash flow projections from continued mining operations. Impairment losses, if any are recognized in the consolidated statement of comprehensive income.

The determination of DCF is most sensitive to the following key assumptions;

- Production volumes
- Remaining life of the right to mine
- Metal prices
- Discount rate
- Ore grades

Production volume and Remaining life of the right to mine

Estimated production volumes are based on life-of-mine plans and take into account development plans for the mines agreed by management as part of the long-term planning process. Production volumes are dependent on a number of variables, such as: the recoverable quantities; the production profile; the cost of the development of the infrastructure necessary to extract the reserves; the production costs; the contractual duration of mining rights; and the selling price of the commodities extracted. As each producing mine has specific reserve characteristics and economic circumstances, the cash flows of the mines are computed using appropriate individual economic models and key assumptions established by management. The production profiles used were consistent with the reserves and resource volumes approved as part of the Group's process for the estimation of proved and probable reserves, resource estimates and in certain circumstances, include expansion projects.

Metal prices

Metal prices are based on management's estimates with reference to the FerroAlloyNet.com. The price is determined using the weighted average price of the prior month published at the FerroAlloyNet.com. This pricing model is reviewed at least annually.

Discount rate

Discount rate used is the pre-tax discount rate that reflects the current market assessment of the risks specific to the asset or CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates.

The discount rate used in 2024 and 2023 ranges from 7.08% and 4.96%.

Ore grade

Generally, a higher ore grade will dictate a higher price and consequently a higher recoverable amount. Ore grade is determined by in-house assay grading personnel. Nickel grade of 1.50% and above, Iron content of 20% and above, and with moisture content of 35% is considered as the highest ore grade.

For the period ended September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023 no impairment loss is recognized.

31. CAPITAL MANAGEMENT OBJECTIVES AND POLICIES

The Group's capital management objective is to ensure its ability to continue as a going concern and to provide an adequate return to shareholders by pricing products and services commensurately with the level of risk.

The following table presents the capital the Group manages as at September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023:

	Sept. 30, 2025	Sept. 30, 2024	Sept. 30, 2023	Dec 31, 2024 (audited)
Share capital	2,878,500,005	2,878,500,005	2,878,500,005	2,878,500,005
Share premium	445,025,896	445,025,896	445,025,896	445,025,896
Retained earnings	3,642,776,352	3,700,912,370	3,773,619,793	3,789,432,570
	<u>6,966,302,253</u>	<u>7,024,438,271</u>	<u>7,097,145,694</u>	<u>7,112,958,471</u>

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. No changes were made in the objectives and policies or processes during the period ended September 30, 2025, December 31, 2024, September 30, 2024 and September 30, 2023.

The Group is not subject to externally imposed capital requirements.

32. SUPPLEMENTAL DISCLOSURE TO CONSOLIDATED STATEMENTS OF CASH FLOWS

Non-cash investing activities

Excluded in the consolidated statement of cash flows is the adjustment to capitalized cost of mine rehabilitation and decommissioning amounting to P19,930,524 in 2023.

Changes in liabilities arising from financing activities

Movements in advances from related party represent payment of cash advances amounting to P1,750,267 in 2024 and P24,459,537 in 2023 and payment of cash dividends amounting to P8,195,460 in 2024.

33. SEGMENT INFORMATION

The Group has one reportable operating segment, which is the mining segment. The mining segment is engaged in the mining and exploration of nickel saprolite and limonite ores. This is consistent with how the Group's management internally monitors and analyzes the financial information for reporting

to the chief operating decision-maker, who is responsible for allocating resources, assessing performance and making operating decisions.

Segment information for the reportable segment is shown in the following table:

	2024	2023	2022
Revenues	P 361,686,791	P 653,397,133	P 2,162,851,683
Cost of sales	276,707,005	457,882,013	1,100,162,608
Shipping and loading costs	62,339,735	201,214,629	274,895,052
Excise and other taxes	17,877,143	32,485,185	95,494,325
Segment operating earnings (loss)	4,762,908	(38,184,694)	692,299,698
Administrative expenses	201,033,078	299,187,434	199,285,210
Finance cost	1,476,385	1,391,382	1,145,753
Foreign exchange loss	17,982,614	12,895,004	-
Income tax expense (benefit)	(42,670,230)	(73,196,330)	101,371,148
	177,821,847	240,277,490	301,802,111
Net income (loss) attributable to:			
Equity holders of the parent	(170,697,331)	(274,936,565)	384,728,872
Non-controlling interest	(2,361,608)	(3,525,619)	5,768,715
	P (173,058,939)	P (278,462,184)	P 390,497,587

Other segment information:

Segment assets	P 4,740,979,459	P 4,874,601,061	P 5,052,913,207
Segment liabilities	2,879,713,553	2,038,770,157	1,760,180,656
Capital expenditures	32,945,237	151,717,840	113,939,569
Depreciation, amortization and depletion	101,402,842	143,785,794	161,337,022

The reconciliation of total revenue reported by reportable operating segment to revenue in the consolidated statements of comprehensive income is presented in the following table:

	2024	2023	2022
Total revenue in the consolidated statements of comprehensive income	P 362,354,383	P 668,126,723	P 2,252,053,914
Less: Unallocated revenue	667,592	14,729,590	89,202,231
Total segment revenue	P 361,686,791	P 653,397,133	P 2,162,851,683

The reconciliation of net income reported by reportable operating segment to net income in the consolidated statements of comprehensive income is presented in the following table:

	2024	2023	2022
Net income (loss) in the consolidated statements of comprehensive income	P (79,447,564)	P (273,485,469)	P 443,769,435
Add (Less) unallocated segments:			
Income	(667,592)	(14,729,590)	(89,202,231)
Expenses	2,660,177	31,078,159	2,604,027
Share in net (income) loss of associate	(95,603,960)	(21,325,284)	33,326,356
Total segment income (loss)	P (173,058,939)	P (278,462,184)	P 390,497,587

The following items of assets and liabilities are excluded in the segment assets and liabilities:

	2024	2023	2022
Advances to related parties	P 5,075,106,906	P 4,313,810,358	P 3,548,742,013
Investment in associate	369,184,183	273,580,223	252,254,939
Deferred tax asset	124,219,708	80,885,131	63,349,009
Short-term investments	-	-	329,539,577
Financial assets at FVPL	-	-	329,539,222
Advances from related party	133,602,287	131,852,020	107,392,483
Accounts payable and other liabilities	19,374,225	19,370,725	19,410,725
Deferred tax liability	-	-	62,831,565

-END-



October 28, 2025

To: All Concerned Stakeholders

Oriental Peninsula Resources Group, Inc. ("ORE") reports that no exploration activities were conducted by its subsidiary, Citinickel Mines and Development Corporation ("Citinickel"), collectively the "Group", during the third quarter of 2025.

The Group remains committed to the observance of the Three-Year Development/Utilization Work Program of Citinickel, under Mineral Production Sharing Agreement No. 229-2007-IVB situated in Narra and Sofronio Española, Palawan, as approved by the Mines and Geosciences Bureau in the MIMAROPA Region, with the following details:

For Pulot Nickel Mining Project (PNMP), area: 1,408has.; Location: Sofronio, Española, Palawan:

On-going development and stripping activities on a forested area inside the MPSA are being implemented which started during the second quarter of CY 2023 upon the approval of its new Special Tree Cutting Earth balling Permit (STCEP) areas. Development drilling activities were also conducted in CY 2023 to increase the Citinickel's resources. In 2024 the development programs were focused on some undeveloped areas, including tree cutting activities.

For Toronto Nickel Mining Project (TNMP), area: 768has.; Location: Narra, Palawan:

The focus for development in CY 2023 was contained in the remaining Temporary Revegetation Program (TRP) areas. Development on forested areas was not done due to the absence of STCEP. In CY 2024, no mine development was done but only on production, limited to the existing active areas of the project from the development made during the previous year. For 2025, development program will focus of the areas covered by the on-going STCEP application.

The Group adheres to the objective of aligning its exploration initiatives with long-term sustainable development and economic growth objectives while protecting the environment.

We shall provide information should there be exploration activities in the future.

For your information and reference.

Sincerely,

Caroline L. Tanchay
Chairman/President and CEO

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